

10TH ANNUAL SURVEY & REPORT

2025

CHINA MARKETING & MEDIA TRENDS

2025 BRAND MARKETING & MEDIA PLANNING OUTLOOK

The last few years have been slow by China standards, with consumers and brands waiting for consumption to return to its fearless, limitless pace. But it's become clear that marketing in China has moved into a new phase of slower growth.

For consumers, this is a new paradigm. As China's middle class retreats and regroups, brand positioning and pricing are all-important. Responding to changes in sentiment is imperative - both at a national level and at a city-by-city level.

Adjusting to a slower pace of growth has forced brands to slow down, and in some cases close down. Many retail locations have shut down, and a growing number of brands and agencies have retrenched.

Brands are right to take a cautious, measured approach to their China investments. As evidenced by our survey of marketing leaders, 2025 is likely to be a year of lower sentiment, lower investment, and increased cost cutting. 2025 is also primed to be a year where sales performance is prioritized above all other marketing initiatives.

China is not the only market dealing with a soft consumer economy. Over the past several months, multiple other markets globally have slowed considerably. In this context, China may be a frontrunner in a global downturn - AND - as such, might also be among the first to come out the other side and return to growth. If the economic pendulum swings the other way and China rebounds (and US/EU turns down), then success in China will be mission critical.

Brands should not lose sight of China's potential and scale. China remains the world's second largest economy, and despite a slowdown, is still probably the strongest contender for consumer and retail growth in the coming decades. No other market presents China's mix of scale (1 billion consumers) and buying power (a large and growing middle class). Together with the US, China ranks either first or second in consumer sales of most product categories, making it a mission critical consumer market.

Economic observers remain hopeful that China's government can rally 'animal spirits' and improve the sentiment of investors, businesses and consumers alike. In 2024, several rounds of stimulus and incentives have yielded only modest boosts, not a course correction from China's current deflationary mood. News of Jack Ma's return to China (at Ant Group events in late 2024) was an encouraging sign, signaling that the government may again support its impressive tech leaders.

Finally, trade tensions and protectionism also loom large in 2025. Trump's return to office and his threats of tariffs will reshape global trade networks, potentially resulting in a China retaliation against US firms, and pushing regions pressured by the US (eg. EU, Canada) into closer re-alignment with China.

Chris Baker
Founder, Totem



TOTEM'S 10TH ANNUAL REPORT ON CHINA

Returning for its 10th year running, Totem's China report is designed to help brand leaders stay a step (or two) ahead.

We hope that it serves as a template for evaluating and planning brand growth. The report links together wider insights from the macro-economy and consumers, with key details of the marketing and media landscape. In this year of transition, we also hope that it provides a spark, to help brands regroup, and set new plans for China and the Asia region at-large.

A key ingredient in this report are the collective insights from brands. We had inputs from 95 marketing leaders in this 2025 survey (held in Nov '24). This data underpins the overall direction of our analysis.

A special thanks to Campaign Asia for inviting its community of CMO's and marketing directors to participate in this year's survey.

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THE BIG PICTURE

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CHINA'S MARKETING ENVIRONMENT

Pre-Covid China was a market of ever expanding opportunities, where a swelling middle class was driving incredible growth for brands. Over the past few years things have slowed dramatically, as sentiment and confidence have taken big hits.

As China grapples with adjusting to a new consumption paradigm, digital is still the crucial tool in the marketers playbook.

China outpaces most developed nations in the rapid adoption of digital commerce.

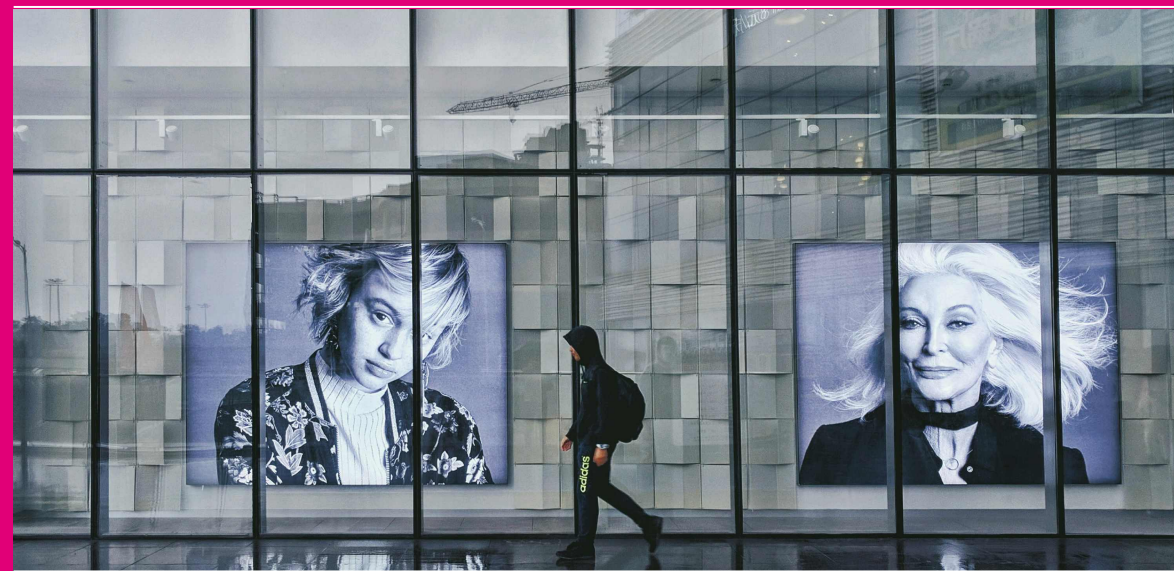
And, as retail consumption has continued to be slow (in 2024), it is ecommerce doing the heavy lifting for brands in China. Online sales were up 12-15%, as overall consumption growth was glacial - and as brands closed down a lot of physical retail shops.

Marketing innovation also continues to press forward, with brands focusing on a mix of social commerce strategies to drive growth - namely influencers, livestreaming and private traffic. Brand investments in these areas continue to grow even as marketing budgets are under pressure.



THREE KEY TAKEAWAYS: CHINA MARKETING IN 2025

1



The overall environment in China has downshifted from rapid, unfettered growth, to a new paradigm of caution and prudence.

Brands must re-position for this new environment and be prepared to survive and flourish during a prolonged recession.

While China remains the World's second largest economy, many of the assumptions about the market are changed and will change rapidly in the coming year(s).

Sentiment among brand leaders, over the last few years has declined considerably.

This is the first year of doing our survey where we have noted significant budget cuts planned.

2



Marketing and sales success in China remains firmly connected to social commerce routines.

Winning brands are expert in cultivating customers on social, rallying audiences to buy, via a potent mix of; influencers, livestreaming, social mini-programs and private traffic tactics.

The aims and approach of social commerce is however subtly changing as a result of the current economy. Where the goal used to be about building hype, the approach is now more about building a foundation of assurance and trust for consumers.

Social validation, reviews, WOM and private traffic all need to be aligned toward confidence.

3



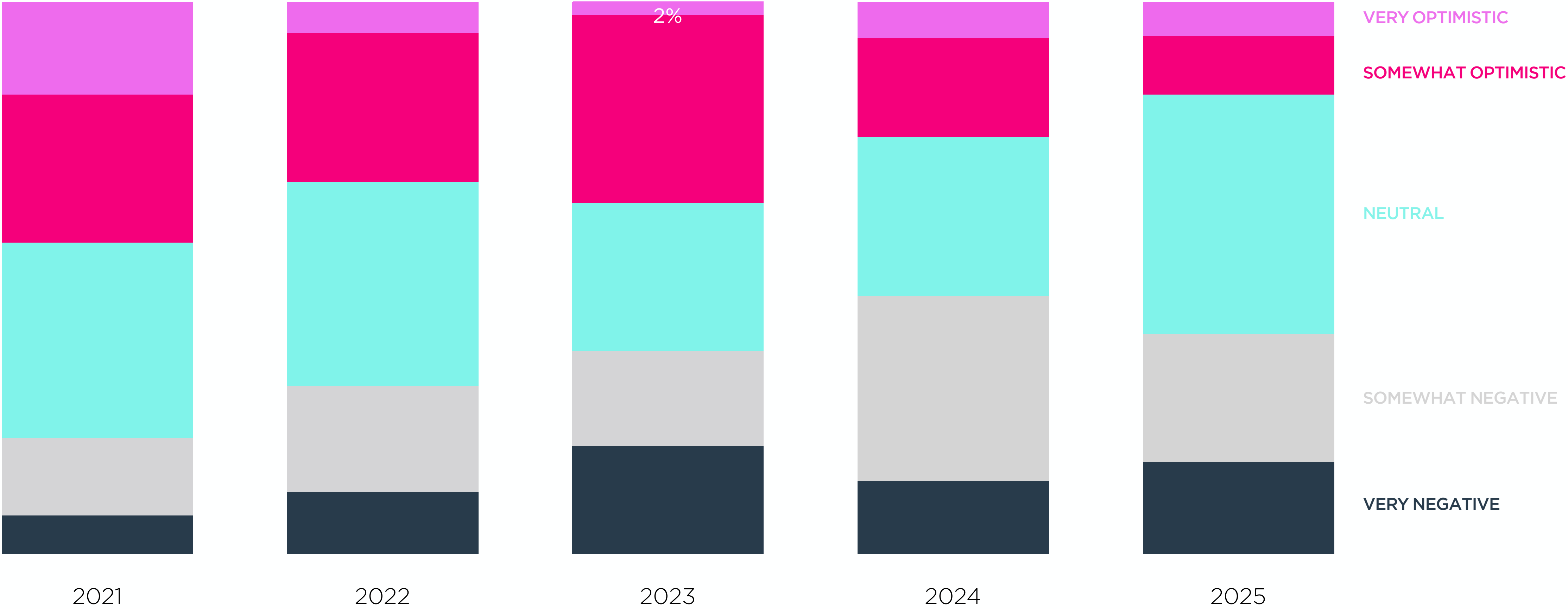
The rift between brand and performance marketing will be stressed again, as companies covet conversion.

Its an environment where companies will be tempted to gear-down and focus on conversion and bottom-of-funnel metrics. Category pricing wars and 'races to the bottom' will become even more common.

But to insulate themselves from this sort of margin erosion, companies should make greater efforts around brand positioning. There will be space for customers to buy the brand they love and trust - even in the face of deep discounting.

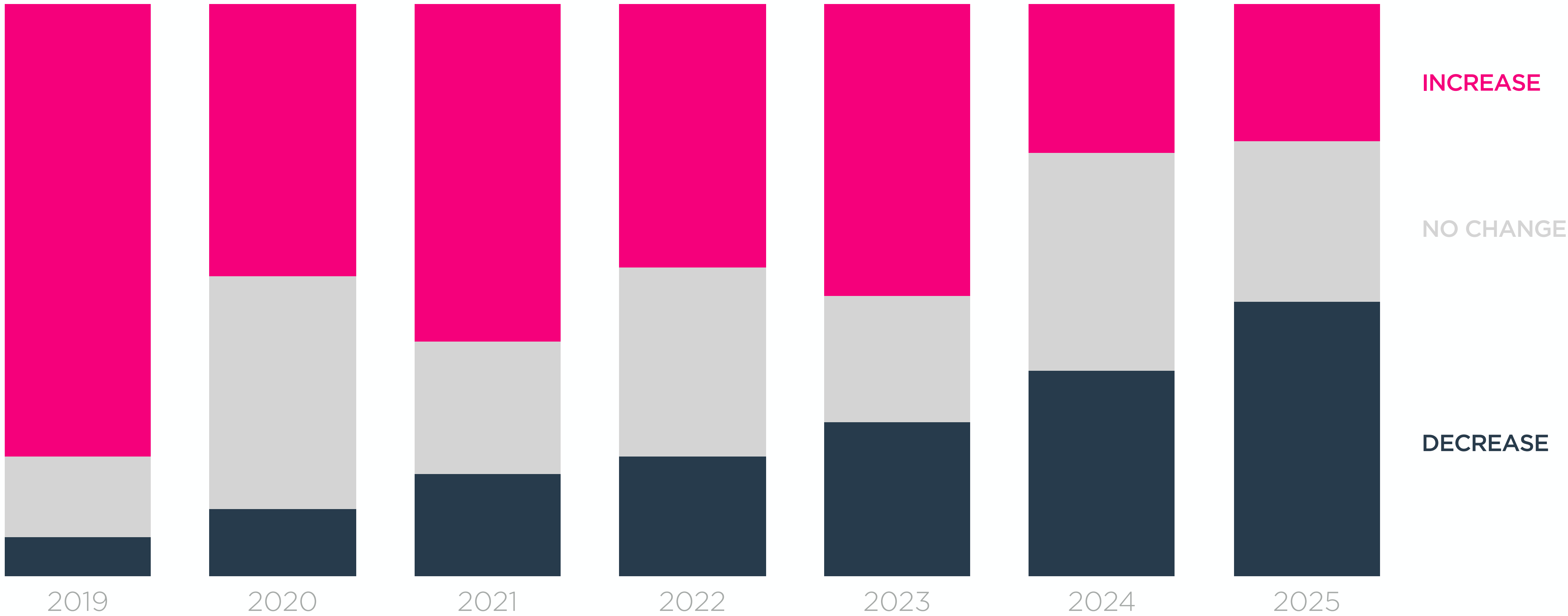
Brands need to be positioned to have core audiences who love, trust and buy them.

HOW WOULD YOU DESCRIBE YOUR OVERALL OUTLOOK FOR NEXT YEAR?



Source: Totem Media Brand Survey (2021-2025)

HOW DOES YOUR BRAND PLAN ON ADJUSTING **OVERALL** MARKETING SPEND IN...?



Source: Totem Media Brand Survey (2019-2025)

A NEW PARADIGM FOR CHINA

China is in the midst of a major shift in its approach to marketing, growth & consumption. Brands need to re-frame the approach to China given the changes underway.





BRAND SURVEY

- 11 ABOUT THE BRAND SURVEY
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OVERVIEW & METHODOLOGY

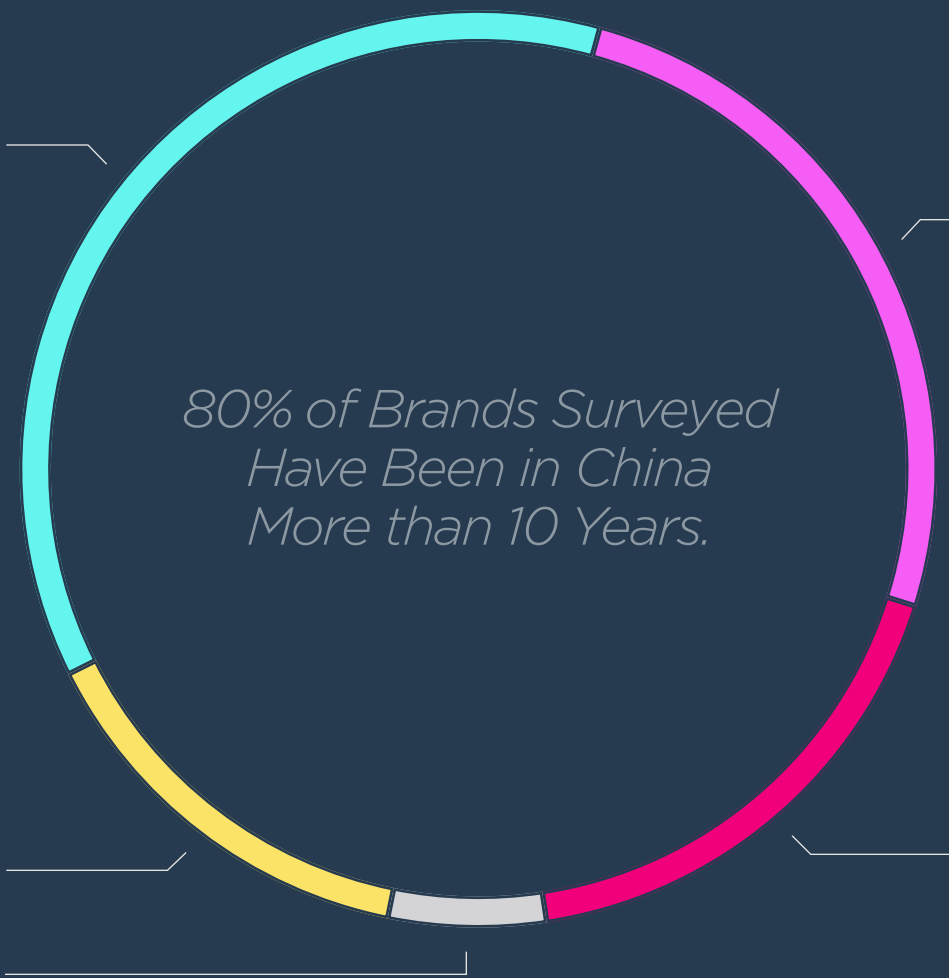
At the end of 2024, Totem together with Campaign Asia surveyed marketing leaders from a group of 95 brands on their advertising plans for 2025.

This group of brands represents a cross-section (of mostly global) brands, ranging from very large to medium sized - most of which have more than 10 years experience in China.

BRANDS
SURVEYED FOR
2025

95

BRAND’S NUMBER OF YEARS IN CHINA



CATEGORIES	NUMBER OF BRANDS
Appliances & Electronics	7
Beauty/Cosmetics	10
Fashion & Apparel	22
Gear & Gadgets / Toys	6
Household & Kitchen	8
Mom & Baby	3
Luxury	14
Packaged Food	7
Fitness & Health	8
Other	10
	95

A special thanks to Campaign Asia for inviting its community of CMO's and marketing directors to participate in this year's survey.



SENTIMENT & BUDGETS

SENTIMENT IS GENERALLY WEAK

Fully one-third (33%) of brands in this year’s survey believe that China consumer economy is ‘already in recession.’

This is countered by only 14% of respondents who hold a positive view on the economy.

For the 43% of brands who view the economy as ‘neutral (flat)’ it is reasonable to assume that they have a somewhat negative view on the current state of play. Status quo in this environment assumes a continuation of subdued conditions.

So, we view the data as showing a generally negative sentiment for 2025 (continuing on a weak 2024), mixed with a few pockets of optimism, from brands or industries who are out-performing.

WHAT IS YOUR VIEW ON THE STATE OF CHINA’S CONSUMER ECONOMY FOR 2025?

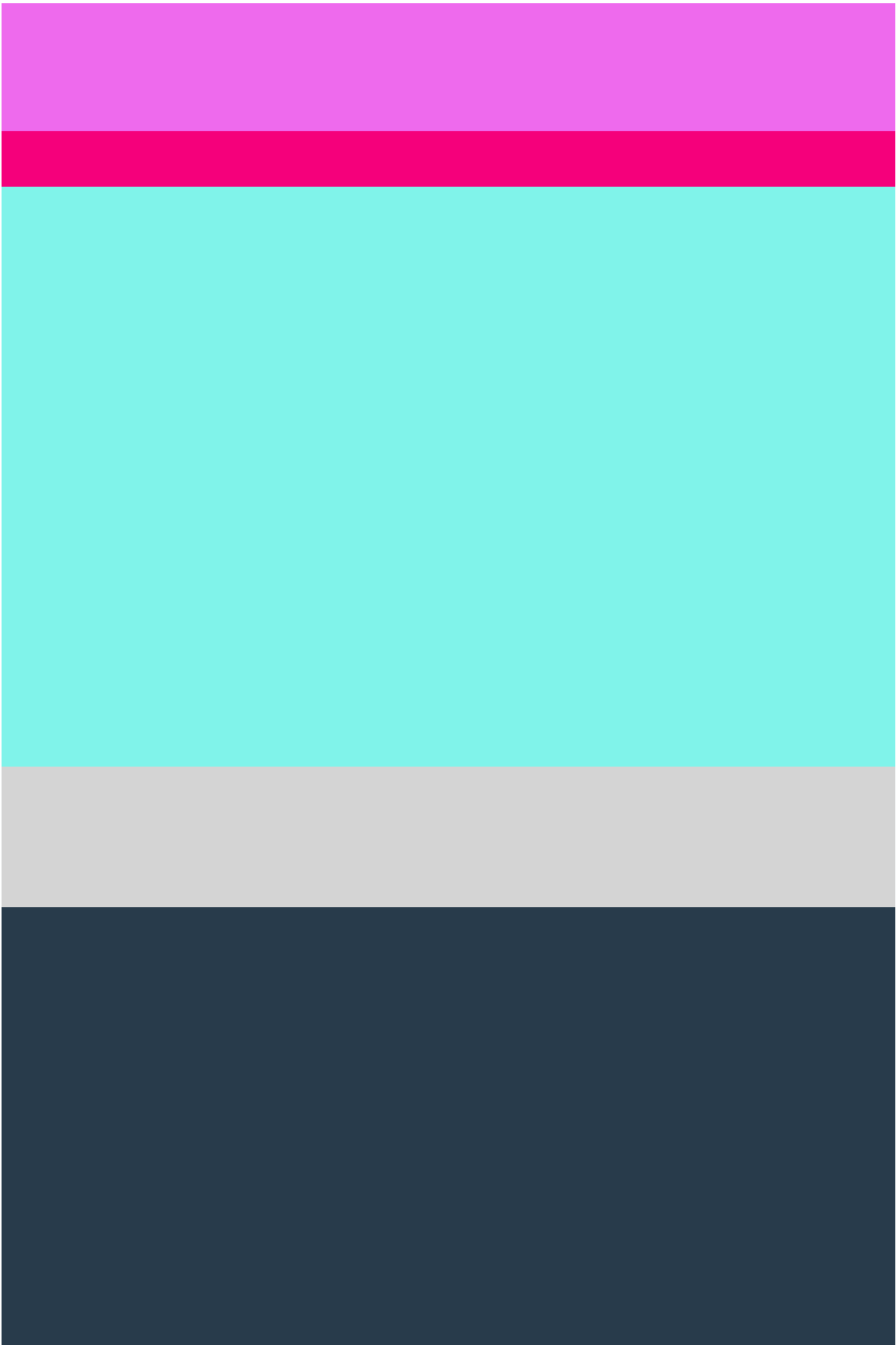
ACCELERATING

ROBUST AS ALWAYS

NEUTRAL (FLAT)

TURNING DOWN

ALREADY IN RECESSION



POISED TO REBOUND?

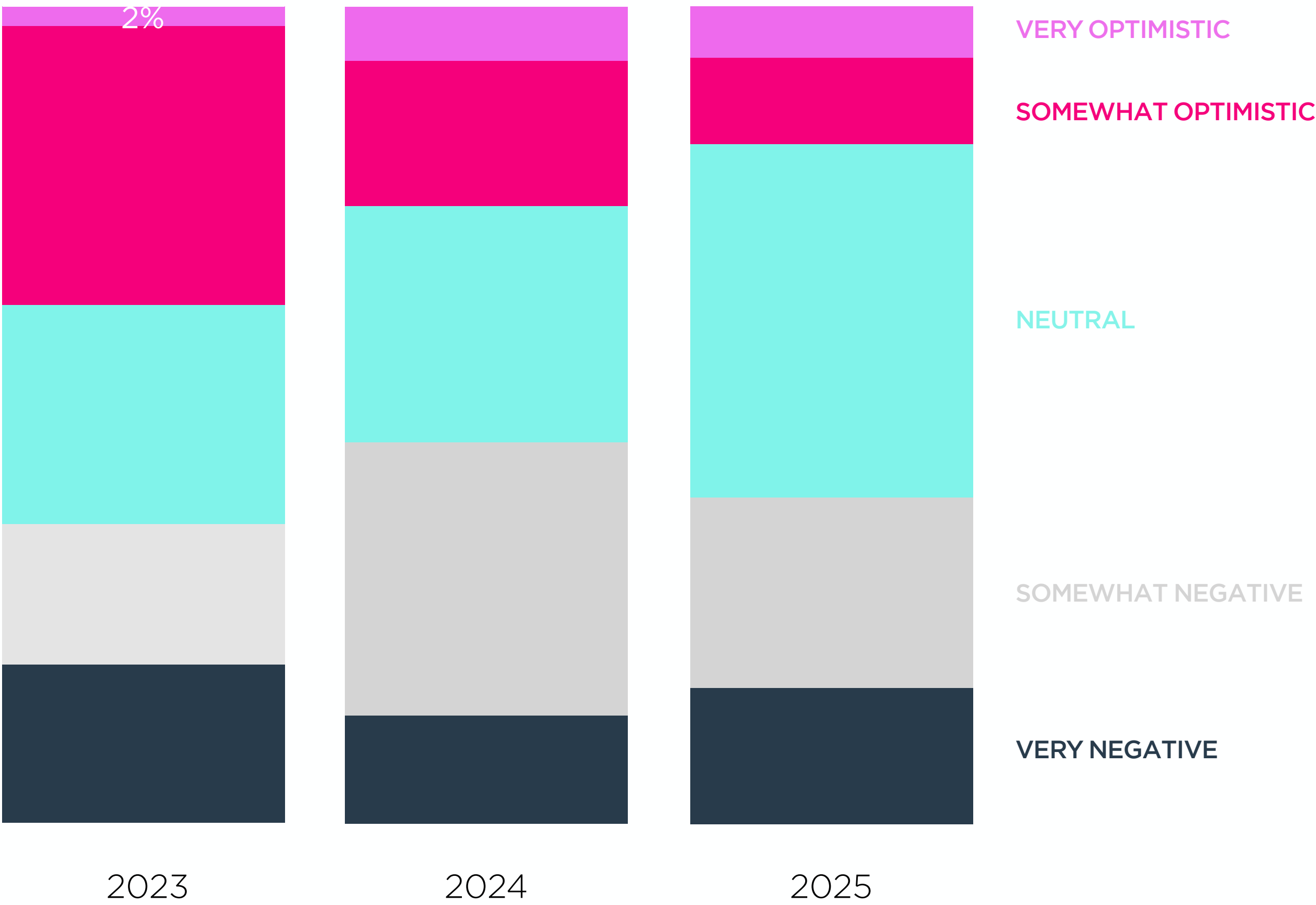
The outlook for China’s consumer economy continues to grow negative. Going into 2025, there is a greater share of respondents with a neutral to negative view (83%), with only 17% of brand managers holding an optimistic outlook.

While the optimistic cohort is still in decline, the ‘negative’ view has receded (slightly), from a total of 46% into 2024, to 40% into 2025.

Within this context, there are many brands who are under real duress (the 17% of ‘very negative’ brands). But, there are also (still, as always) a small group of brands who are doing well (6% are ‘very optimistic’).

Despite the widespread negative sentiment, there is a small but growing chorus of optimism that suggests things may have already hit bottom and the economy (and consumer spending) is poised to rebound into 2025 and 2026.

HOW WOULD YOU DESCRIBE YOUR OVERALL OUTLOOK FOR NEXT YEAR?



Source: Totem Media Brand Survey (2023 n=82), (2024 n=90), (2025 n=95)

SHIFTING AWAY FROM CHINA?

There continues to be a pivot of marketing time, resources and attention from China to other markets around the region.

58% of brands have noted shifting some portion of attention/resources from China to other markets in Asia. This is a trend that started in the aftermath of Covid and has continued to grow.

While China is still the big prize in the region, there is more hedging of bets. This is a reflection of concern about China’s consumer slowdown BUT also an acknowledgment that most brands have under-invested into surrounding markets. Prior to Covid, China was just too big and important, so it absorbed the lion’s share of attention.

These moves need to be carefully measured, as it is not easy to replace China-like performance in surrounding markets. No other market (or combination of markets) in the region offer the mix of scale, buying power, maturity and potential of China.

“Other” responses in the survey: Many of the brands were keen to note that diversification from China to Asia is part of a longer-term strategic plan, and not the result of recent economic headwinds. A large share of those responding as ‘other’ were in this camp (as diversifying from China but it being part of a longer-term plan).

POST-COVID HAS YOUR BRAND RE-DIRECTED ANY MARKETING FOCUS AWAY FROM CHINA TO OTHER MARKETS IN ASIA?

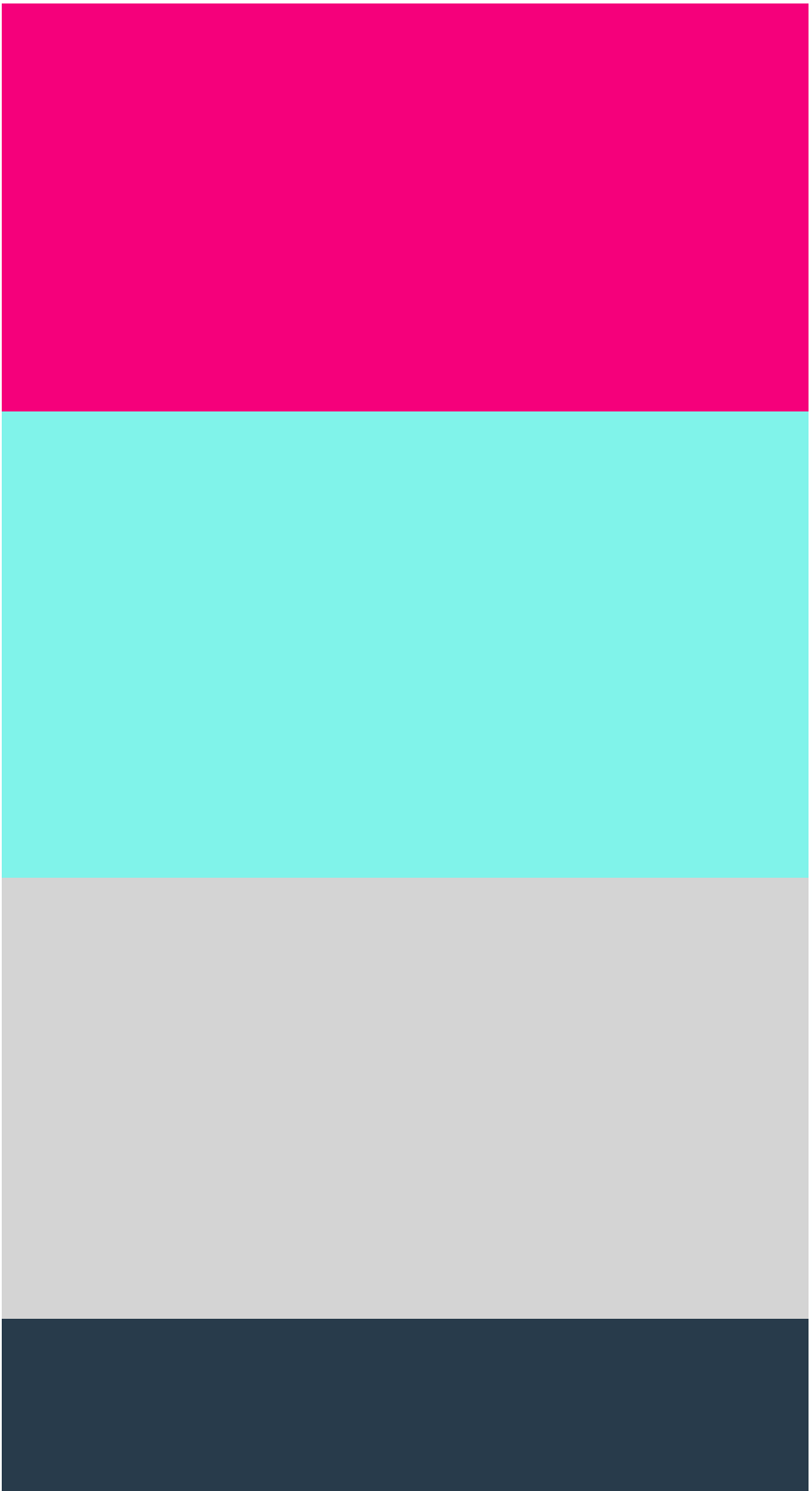
YES - HAVE SHIFTED A LARGE SHARE OF ATTENTION TO OTHER MARKETS

YES - WE HAVE MADE A SMALL INCREASE INTO OTHER MARKETS

NEUTRAL - NO CHANGE FROM THE PAST FEW YEARS

OTHER

**Most cited diversification as part of preset, long-term plan*



MARKETING GOALS FOR 2025 ARE SQUARELY FOCUSED ON SALES PERFORMANCE.

TOP-OF-FUNNEL AWARENESS (TO INCREASE TRAFFIC), TOGETHER WITH INCREASED CONVERSION (SALES) TRUMP ALL OTHER ACTIVITIES FOR 2025.

WHILE THERE WAS A GREAT DEAL OF RETOOLING, ANALYSIS AND OPTIMIZATION IN 2023 AND 2024, GOING INTO 2025, ITS ALL ABOUT PERFORMANCE AND PUTTING REVENUE WINS ON THE BOARD.

LOYALTY (REPEAT PURCHASE) AND BRAND IMAGE (CONSIDERATION) CAN BE VIEWED AS IMPORTANT SUPPORTING ACTIVITIES OF SALES PERFORMANCE.

WHAT MARKETING GOALS ARE PRIORITY FOR 2025?



MARKETING BUDGETS RECEDING

Overall marketing budgets continue to face downwards pressure in China, with 48% of brands reducing overall budgets for 2025.

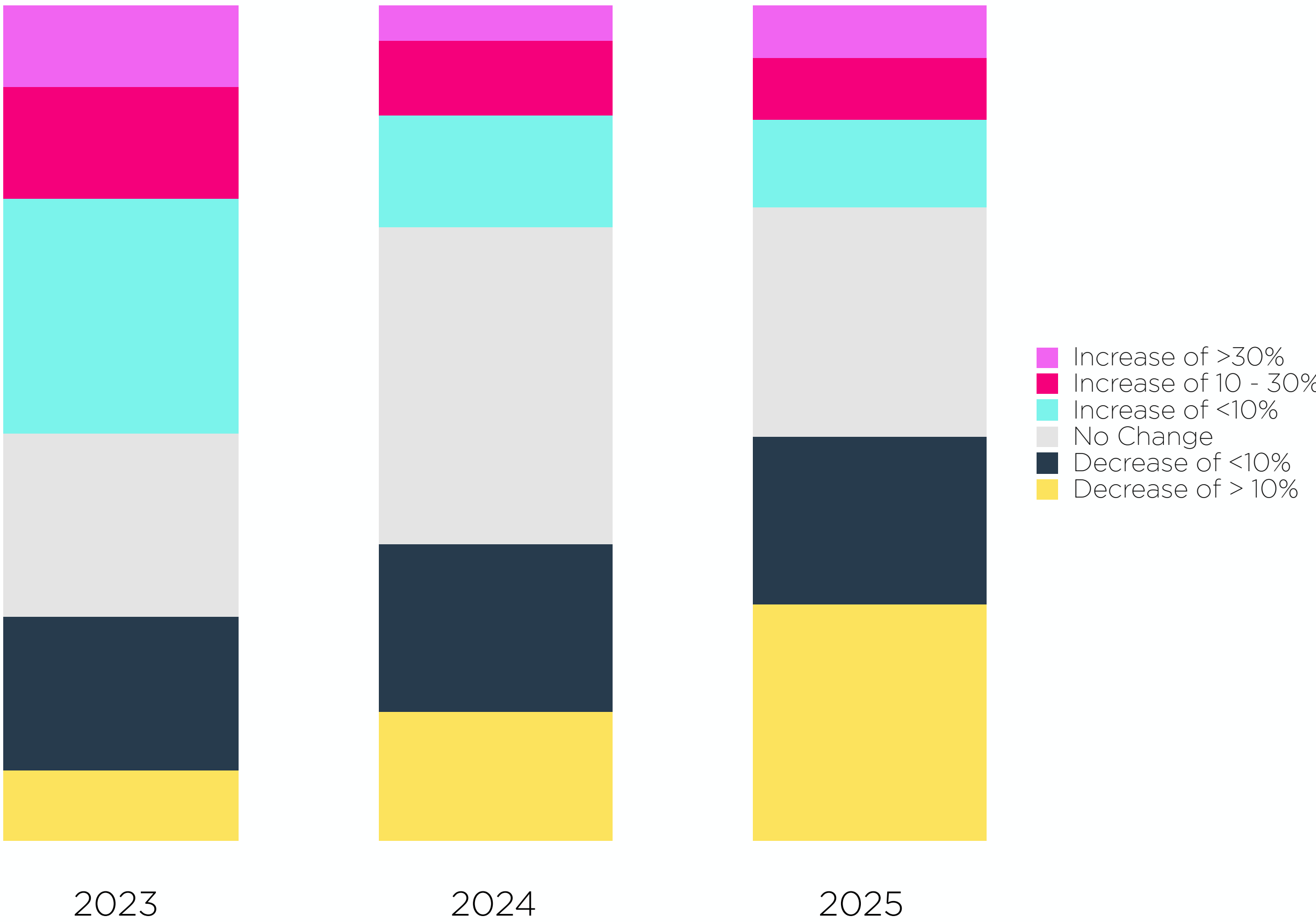
This is now a multi-year trend which seems almost impossible to believe when measured against the last 20+ years of rapidly rising marketing budgets in China. For reference, in our 2018 survey only 7% of brands planned budget reductions for 2019. In that same year, 79% of brands had planned budget increases, with 12% of brands expecting increases of 50% or more.

Brands who are increasing budgets into 2025 tend to be newer, smaller and/or in hot categories.

Very few mature, larger companies are increasing budgets in a significant way, as margin pressures continue to increase.

Note about the survey: These data are collected about the year ahead from the previous year. For example, the 2025 sentiment is gauged in Nov 2024, about the year ahead.

HOW DOES YOUR BRAND PLAN ON ADJUSTING **OVERALL** MARKETING SPEND IN 2025?



DIGITAL SUPPORTS ONLINE SALES

Digital budgets continue to trend positive, even while overall budgets are under pressure and moving in a negative direction.

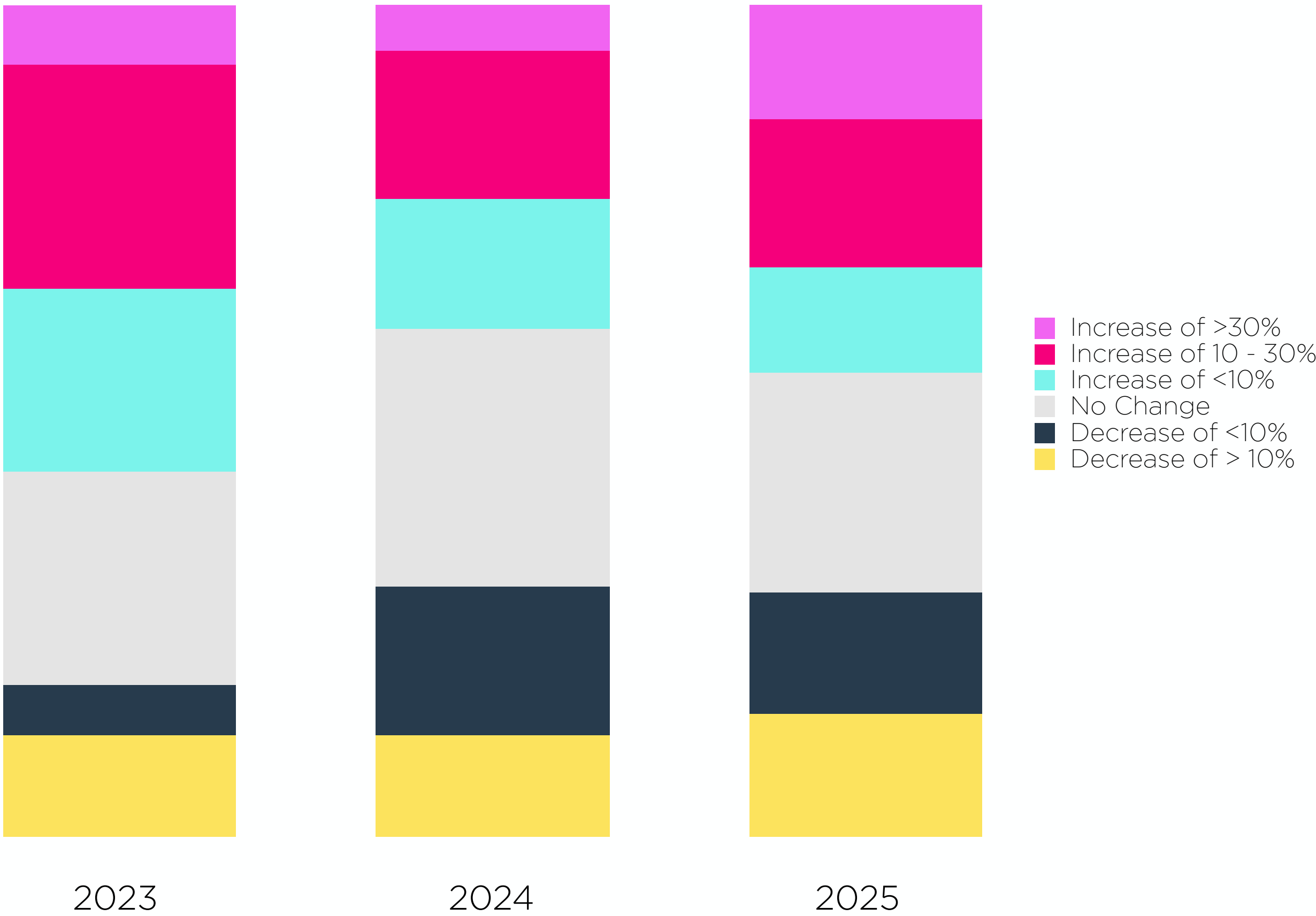
This continues a long-term trend in China of digital budgets trending higher than overall budgets.

The bias toward digital budgeting is well founded. In 2024, as overall retail sales have been slumping (and many retails locations have shutdown) digital (ecommerce) sales have been positive.

According to data for 2024, provided by [Moojing](#), online consumer sales (GMV) was up between 12-15% (with volume up 38%).

In this context brands are putting budgets against proven performance (ROI). Digital is poised to take a greater share of overall sales moving forward and brands need to align to this move.

HOW DOES YOUR BRAND PLAN ON ADJUSTING **DIGITAL** MARKETING SPEND IN 2025?



Source: Totem Media Brand Survey (2023 n=82), (2024 n=90), (2025 n=95)

SOCIAL COMMERCE FUELS GROWTH

Following a similar trend as digital budgets, social budgets remain positive looking ahead to 2025.

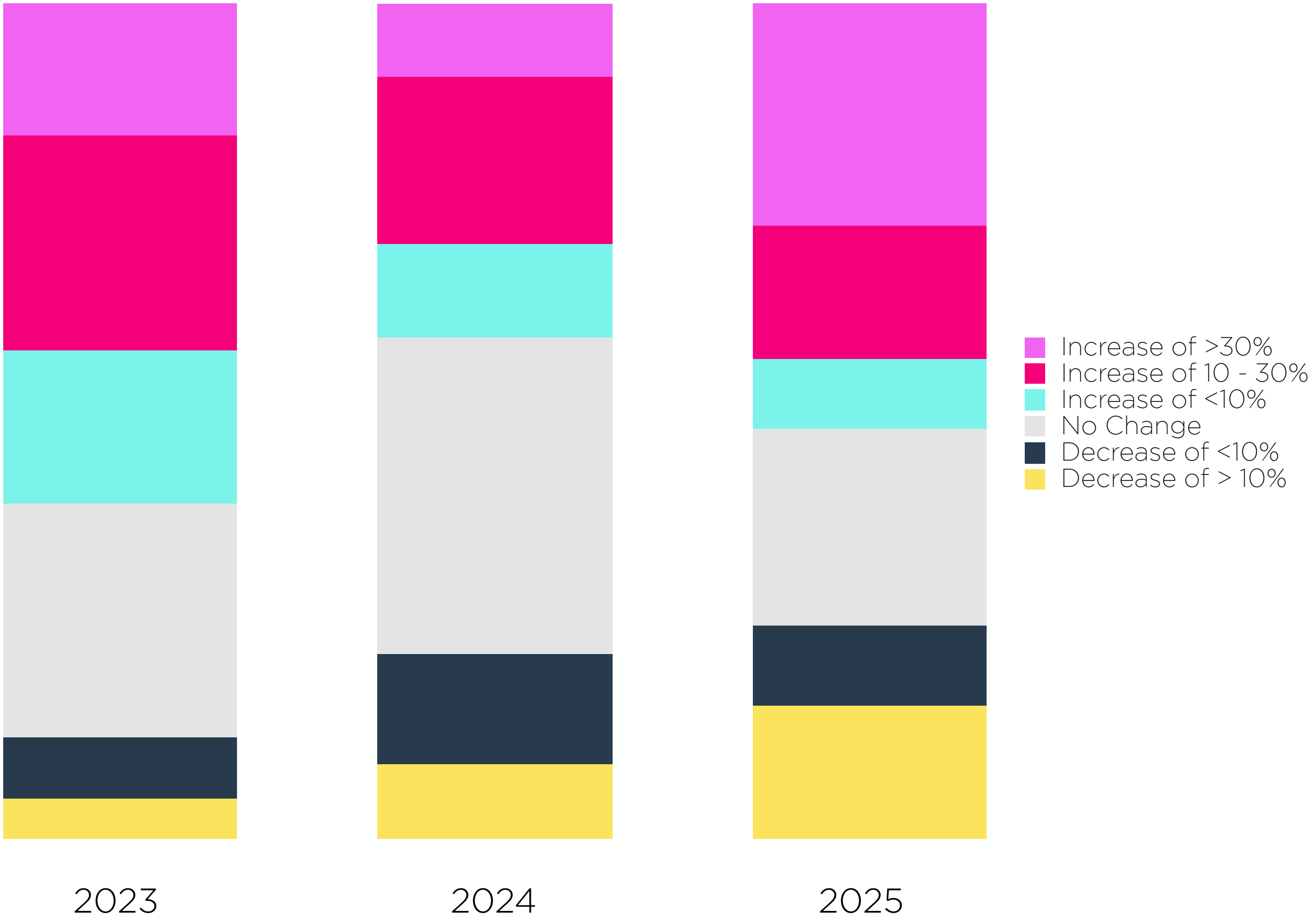
Social and social commerce activities are major drivers of success with online sales in China.

Where 45% of brands report ‘increases’ for digital, 51% of brands plan on increasing social budgets for 2025.

While social increases are measured from a lower base rate than digital, this over-indexing on social spending provides strong evidence for the effects of social on sales results.

Social spending is being directed increasingly into resources that support sales, including; private traffic operations (think KOCs), Influencers and affiliate promotions, live-streaming and performance driving social ads.

HOW DOES YOUR BRAND PLAN ON ADJUSTING **SOCIAL** MARKETING SPEND IN 2025?



Source: Totem Media Brand Survey (2023 n=82), (2024 n=90), (2025 n=95)

BUDGET CUTS RISE SHARPLY

Budgets cuts across all areas are projected to rise in 2025 - significantly increasing when compared with 2023 and 2024.

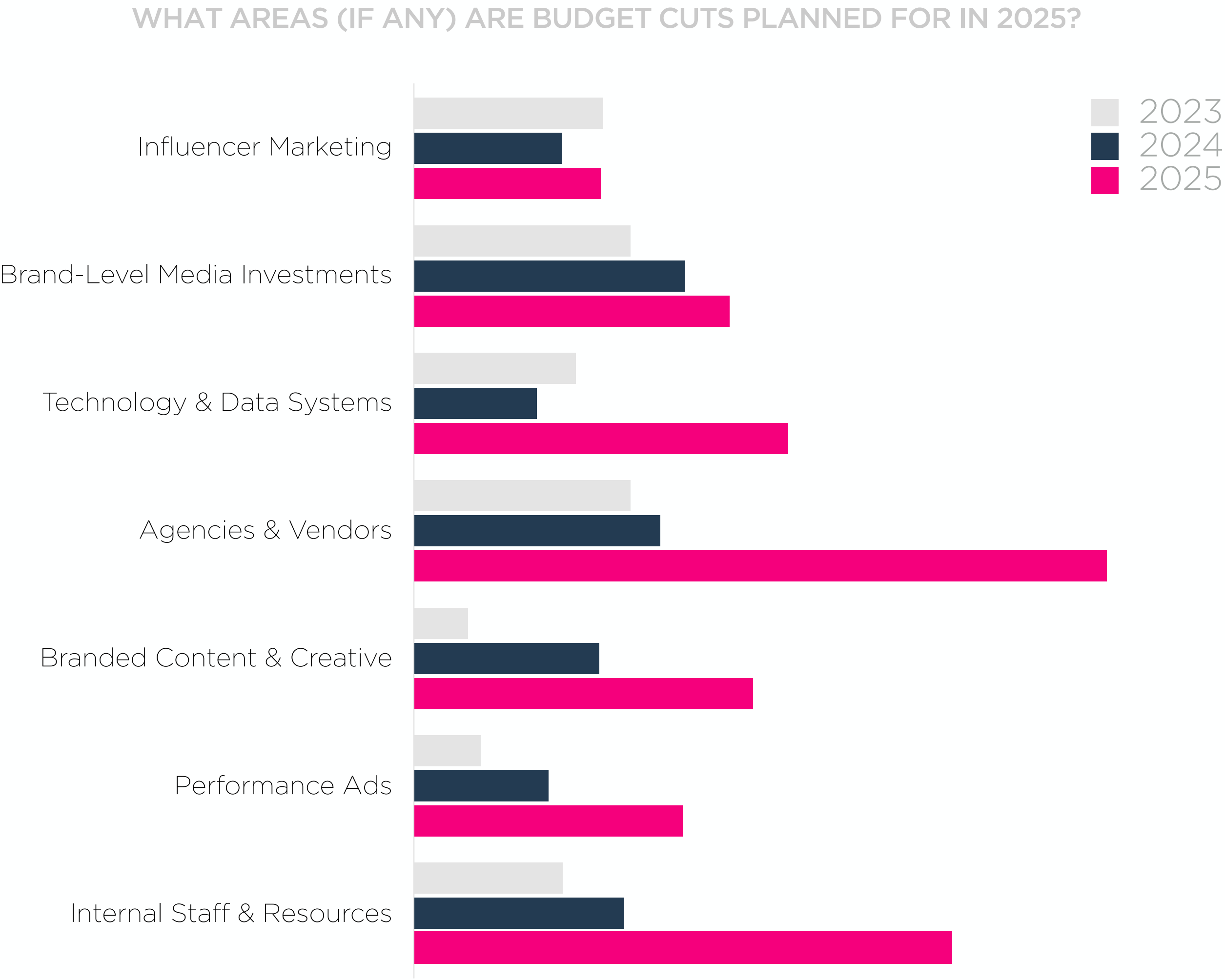
Agencies and vendors lead the way in terms of planned budget cuts headed into 2025. Cuts planned with agencies and vendors have risen 3x over 2024.

Internal staff cuts follow agencies/vendors as the next most likely areas to see cuts.

Technology and data systems investments also rank highly on the list of cuts for 2025.

While many brands used 2023-24 as an opportunity to get better organized (with systems/tech), 2025 is all about streamlining costs and optimizing sales performance.

In this context, performance ads/initiatives, as well as influencers, hold up relatively better - as initiatives used to drive results - with fewer cuts planned.



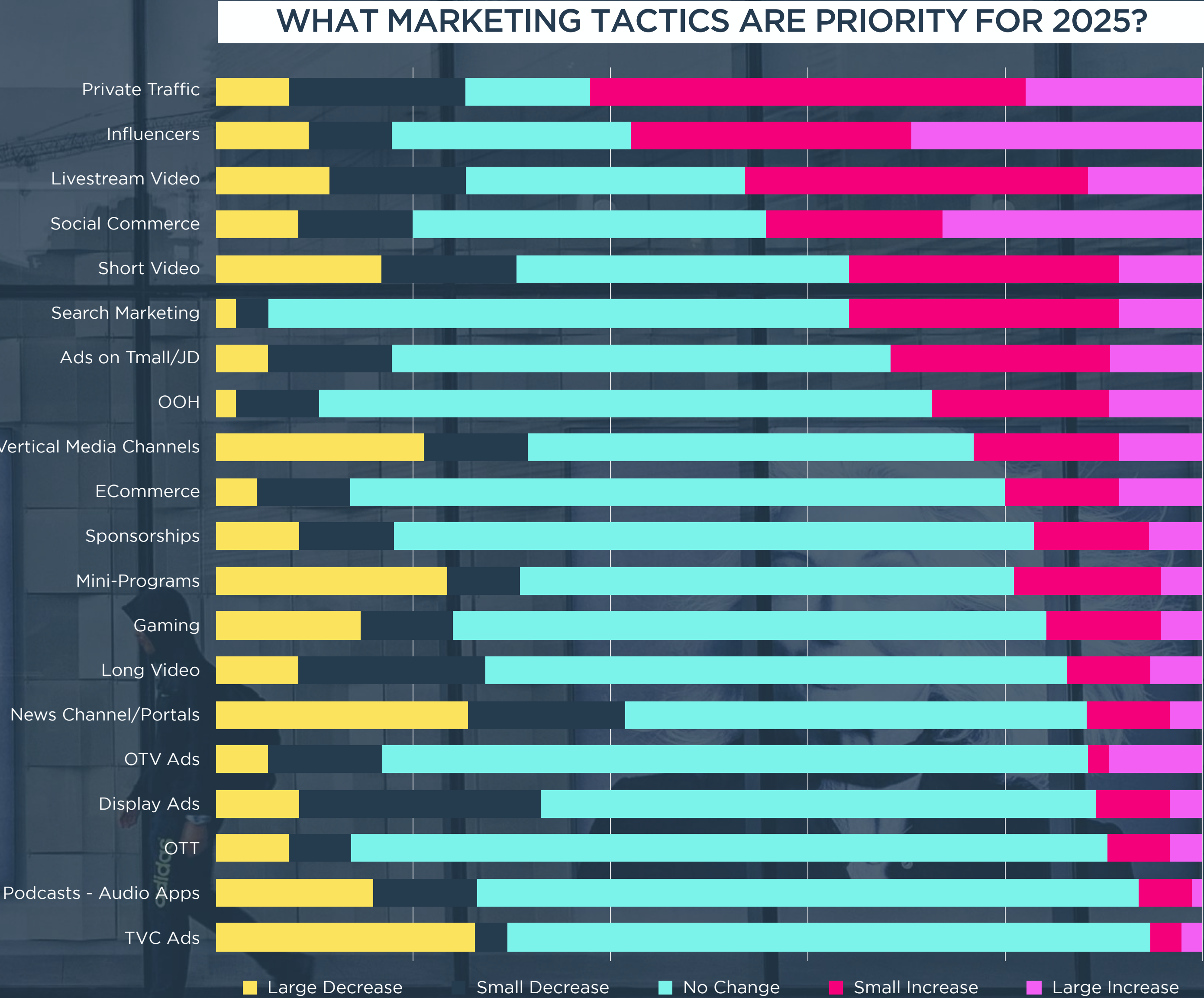
Source: Totem Media Brand Survey (2023 n=82), (2024 n=90), (2025 n=95)

MEDIA & TACTICS

INVESTMENTS INTO ALL THINGS RELATED TO SOCIAL COMMERCE CONTINUE TO BE PRIORITIES INTO 2025. INFLUENCERS, LIVESTREAM VIDEO, SOCIAL COMMERCE, SHORT VIDEO AND PRIVATE TRAFFIC ALL RANK HIGHLY.

HIGHER COST, TRADITIONAL MEDIA, SUCH AS DISPLAY ADS, TVC ADS AND NEWS CHANNELS HAVE BEEN DE-PRIORITIZED FOR 2025.

MORE SPECULATIVE, UN-PROVEN MEDIA SUCH AS GAMING, PODCASTS AND SPONSORSHIPS - WHICH WERE HOT DURING MORE OPTIMISTIC YEARS - HAVE ALSO DROPPED DOWN THE LIST OF PRIORITIES.



RED RULES THE ROI GAME

RED leads the way in terms of positive ROI reported by brands in 2024.

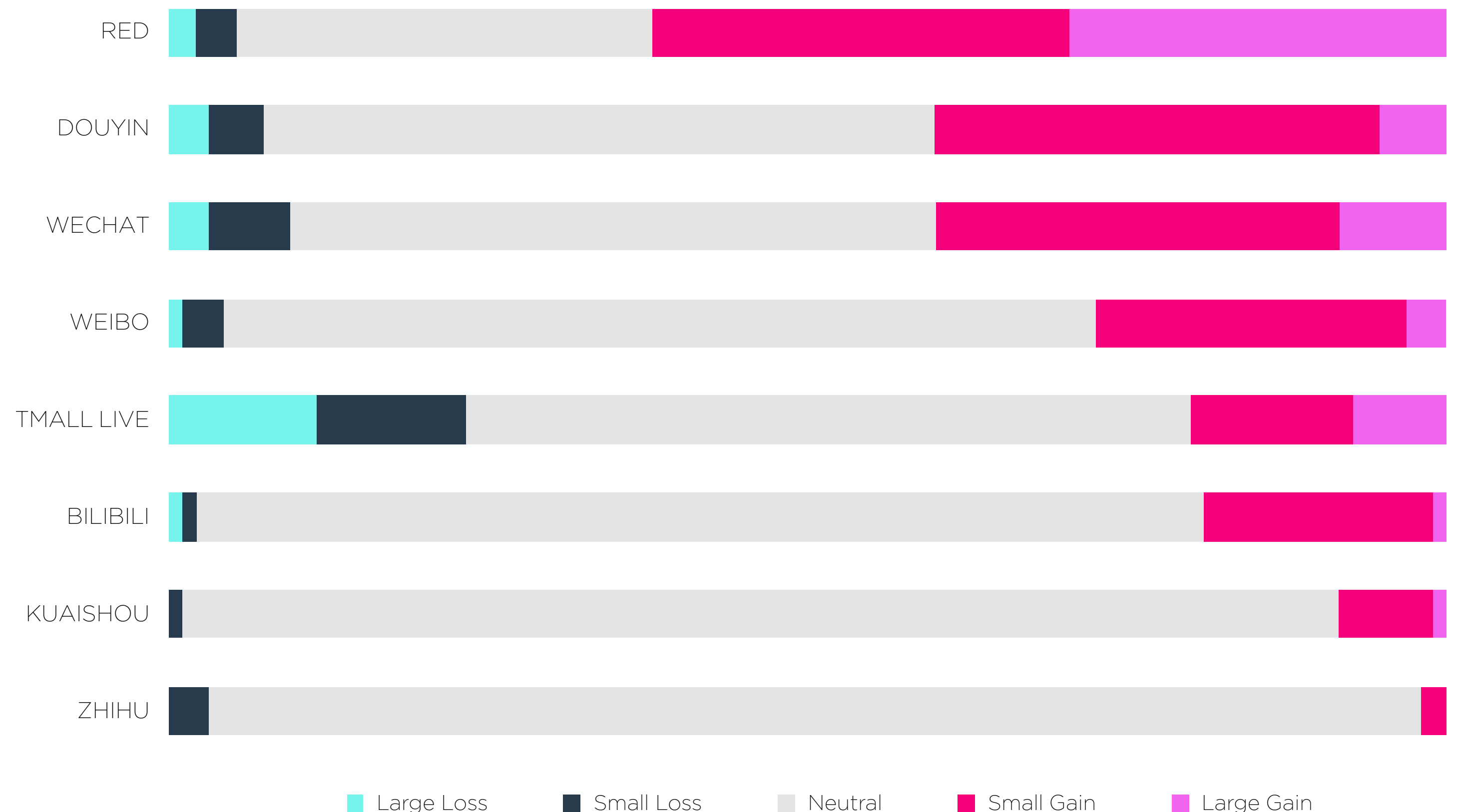
Going back to 2019, RED and Douyin have been the two leading channels as sources of growth for brands. They have been neck-and-neck in terms of perceived brand ROI for several years running.

2024 is notable as the year that RED started to separate itself from Douyin, taking a clear lead when it comes to brand favorability.

WeChat, Tmall Live and Weibo also have demonstrated above average returns for brands in 2024. These three channels have consistently been in the second tier of performers going back over the last few years.

Bilibili, Kuashou and Zhihu again fall into a grouping of channels which are returning weak ROI to most brands. It is important to note however, that these channels tend to be far less used by brands. So, rather than being weak performers, they may simply not be well used - you can't measure what wasn't tested in this case.

IN 2024, HOW WOULD YOU CHARACTERIZE YOUR ROI, PER CHANNEL:



BETTING ON RED (AND DOUYIN)

RED, Douyin and WeChat stand out as the leading channels for branded investment into 2025.

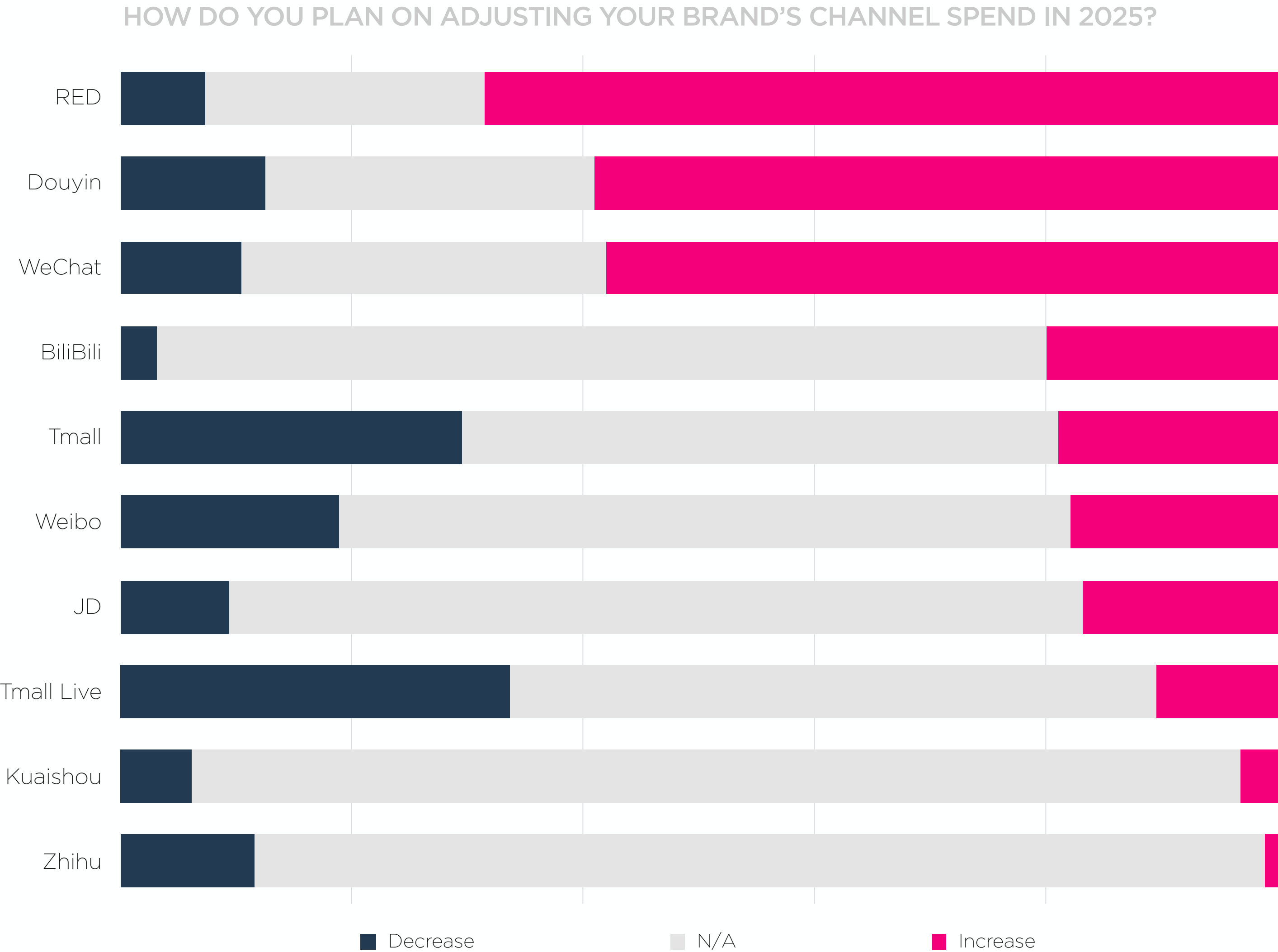
RED and Douyin offer brands access to growth in reach, awareness and consideration.

And, WeChat excels as a channel for private traffic operations, as well as loyalty and repeat purchase initiatives.

There is a clear line separating these top tier channels from the other channels, with brands opting to spend more on channels that produce real results, while pulling back from less impactful media.

Tmall and Tmall Live both stand out as channels where brands are pulling back. While these two ecommerce channels have been foundational, many brands have seen diminishing returns (when measured against high levels of existing investments), and are now taking money off the table.

This cautious approach is warranted with both Alibaba and JD. According to data from Moojing, in 2024, Alibaba (Tmall/Taobao) and JD sales results were flat.



RED AND DOUYIN CONTINUE LEAD

RED and Douyin have made massive jumps in the rankings over the past few years.

RED, followed by Douyin, now lead the way as channels of the future. WeChat continues to hold on to its position as a top-three channel for brand performance.

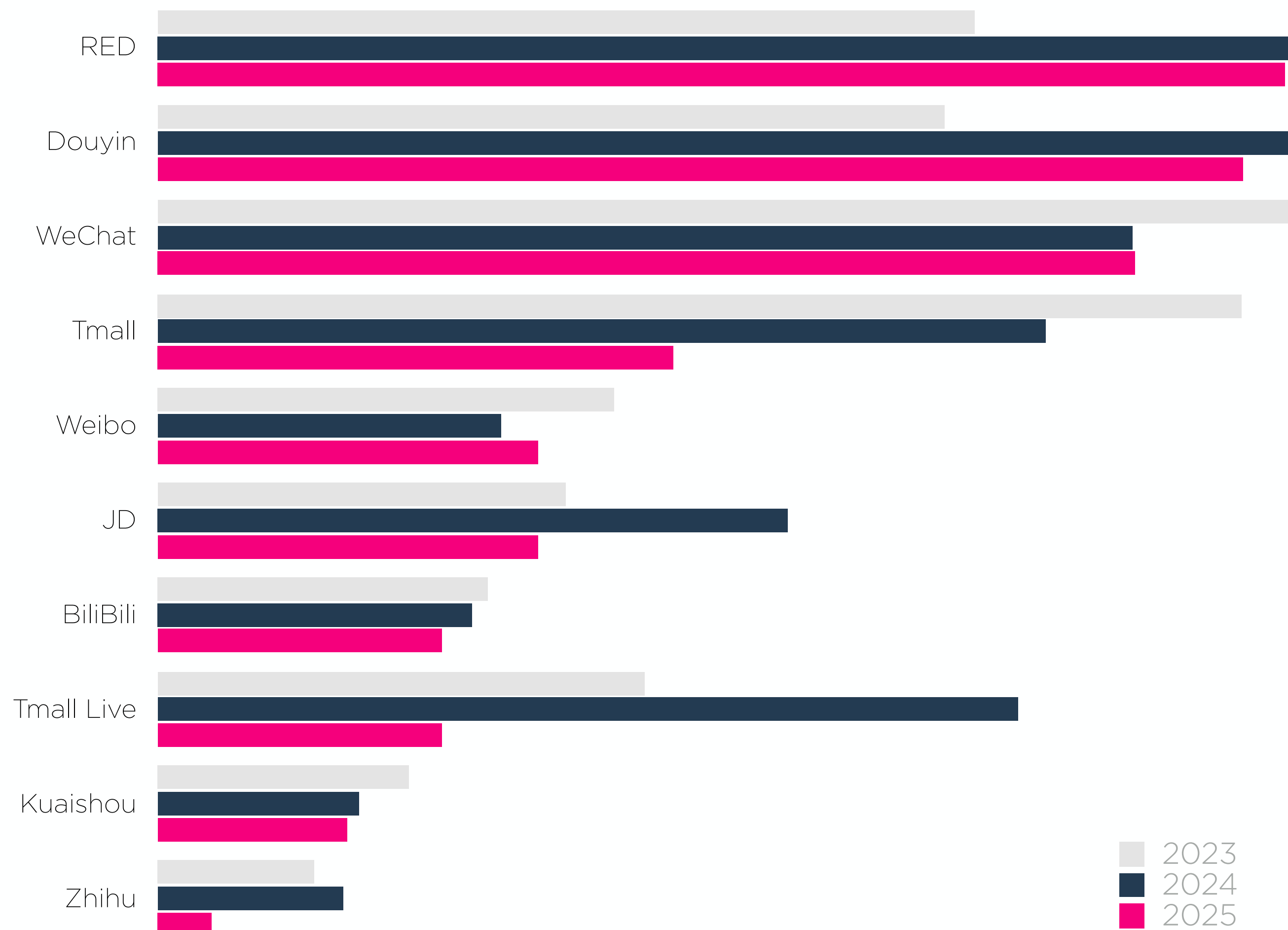
The top three channels all have considerable “staying power” and are viewed as safe investments, where an investment in building critical scale today will not be lost in the next three years.

Tmall and JD show the biggest declines in confidence over the past few years. Where Tmall has ranked near the top for decade(s), its lackluster performance over the past few years had knocked it back significantly.

Note about this survey; brands tend to vote in favor of channels where large investments have already been made. So this ranking tends to skew heavily towards channels that (1) have a large number of brands invested, and (2) where recent results have been strong.

For channels that have seen consistent year-over-year declines in brand activity (eg. Weibo), it becomes harder for brands to see the channel as playing a key role. You cant evaluated what you dont measure.

VERY CONFIDENT THE CHANNEL WILL PLAY A KEY ROLE IN MARKETING PLAYBOOK - THREE YEARS FROM NOW



2023
2024
2025

INFLUENCERS & LIVESTREAMING

INFLUENCER MARKETING CONTINUES TO BE INTEGRAL TO THE MARKETING MIX IN CHINA.

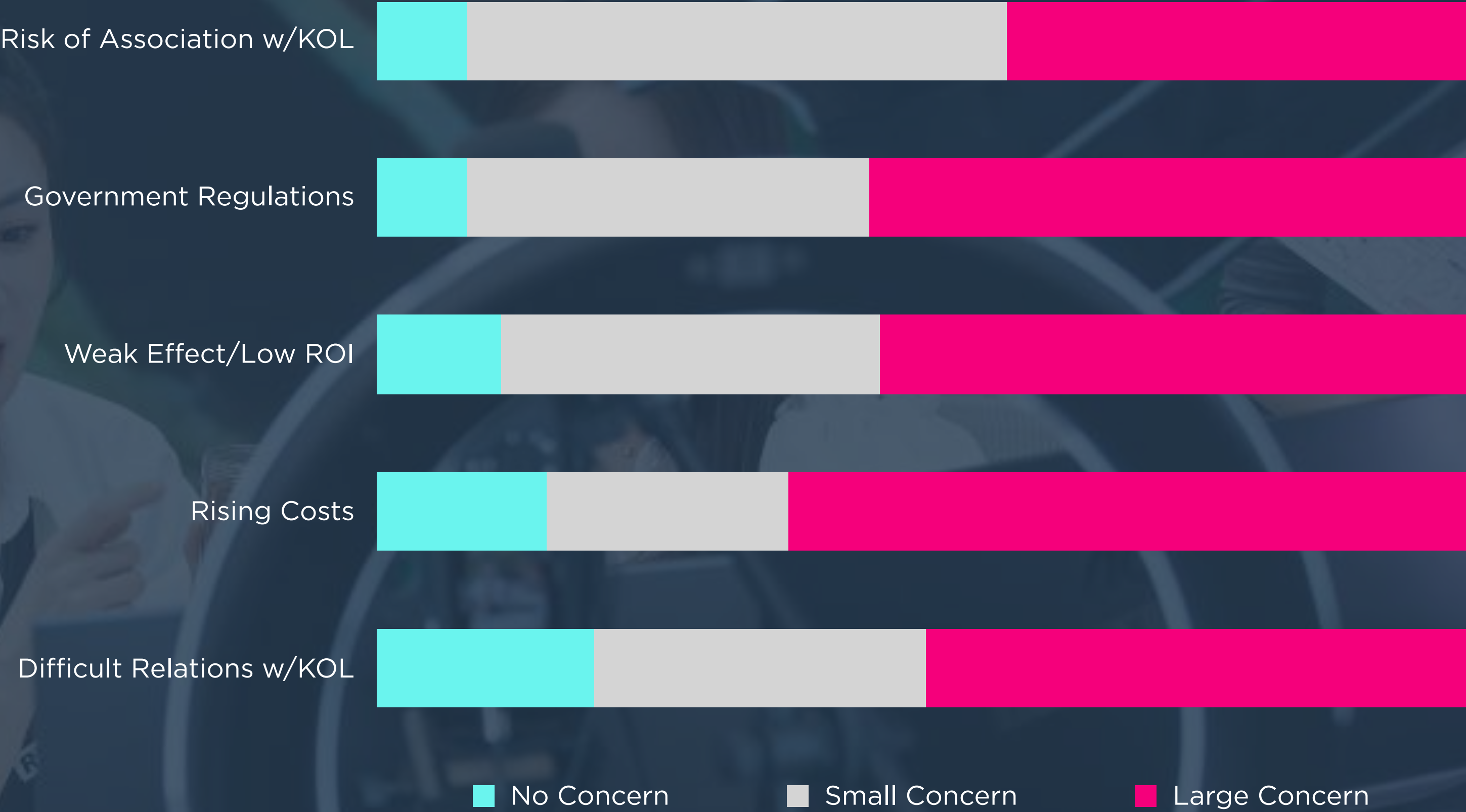
IN A YEAR WHERE BRANDS ARE CUTTING BACK ON AGENCY AND CREATIVE COSTS, INFLUENCERS WILL LIKELY BE SEEN AS ‘SILVER BULLET’ LIKE SOLUTIONS.

BRANDS WILL LOOK TO INFLUENCERS; TO CO-CREATE BRAND ASSETS, TO HELP AMPLIFY AWARENESS, AND TO SUPPORT SALES RESULTS.

THE MAIN CONCERNS WITH INFLUENCERS COME WITH THE HIGH COSTS.

Influencer marketing in China holds a unique place in the marketing mix. Influencer marketing has become de facto brand marketing in China - serving as the best opportunity for brands to tell their story, create trust and influence audiences to align closer with their brand (if not also motivate a sale at the same time).

WHAT CONCERNS DO YOU HAVE WITH USING KOLS?



KOL INVESTMENTS STILL RISING

RED leads the way when it comes to influencer investment increases for 2025. 76% of brands planned on increasing their spend on RED.

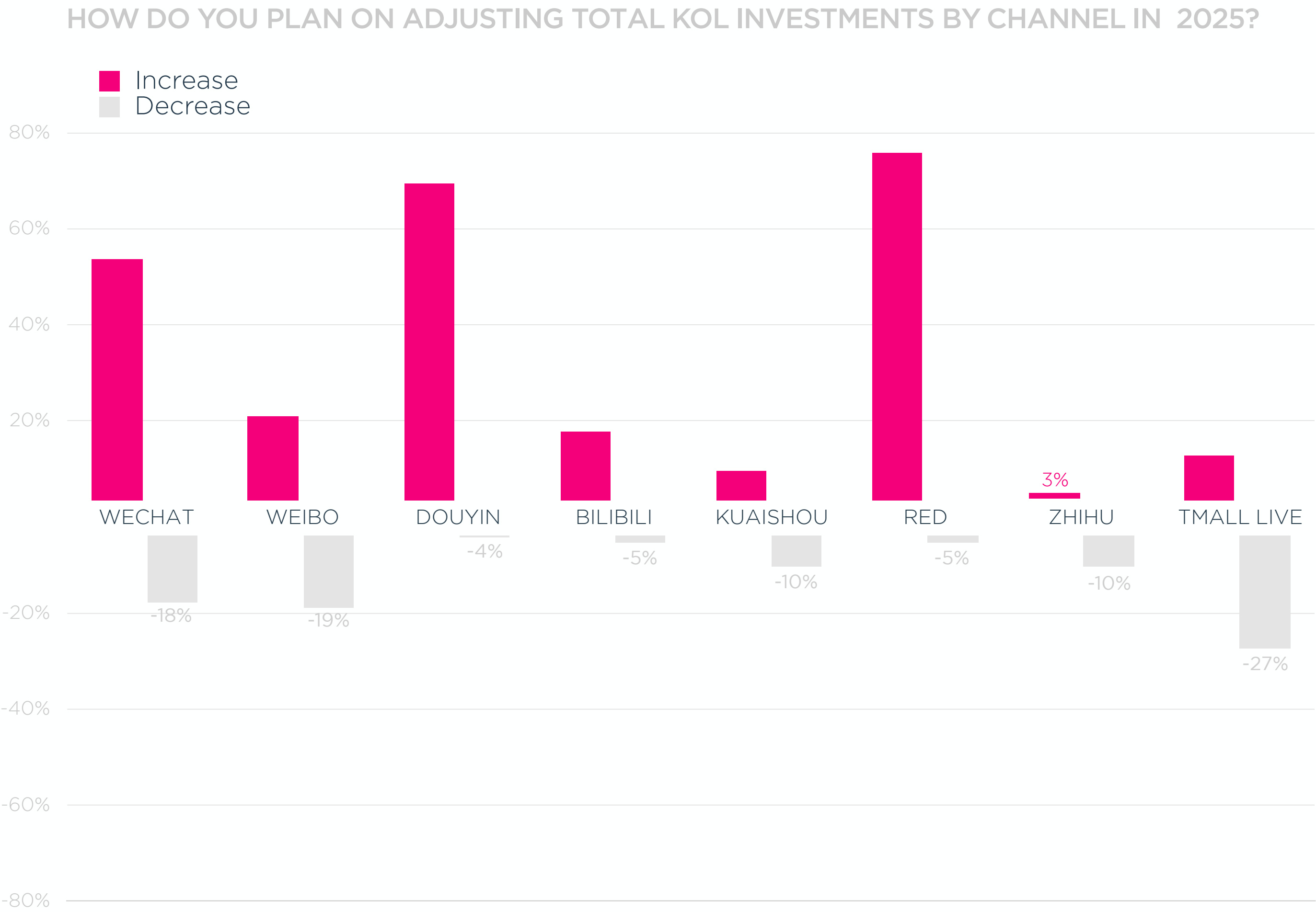
Douyin follows closely behind RED in terms of brand commitments, with 70% brands planning on increasing investments in 2025.

WeChat is the other notable channel for increased investments, with 54% of brands planning increases. Brands are using larger (more costly) influencers on WeChat ‘Channels’ (short video), while using smaller (KOC - Key Opinion Consumers) for private traffic operations with official accounts.

Bilibili also looks to see a net increase of investments, with 18% of brands planning increases to only 4% planning decreases.

The other channels (Weibo, Kuaishou, Zhihu and Tmall Live) all project to have net decreases in KOL investments for 2025.

In a down year, brands are only spending where they can see clear results. As a result there is a pretty sharp divide between the winners (eg. RED, Douyin, WeChat) and the losers (Weibo, Tmall Live etc) when it comes to KOL activities.



KOL FOCUS ON KEY CHANNELS

Brands continue to engage a mix of KOLs to navigate China’s diverse social landscape, with strategies tailored to the dynamics of each channel.

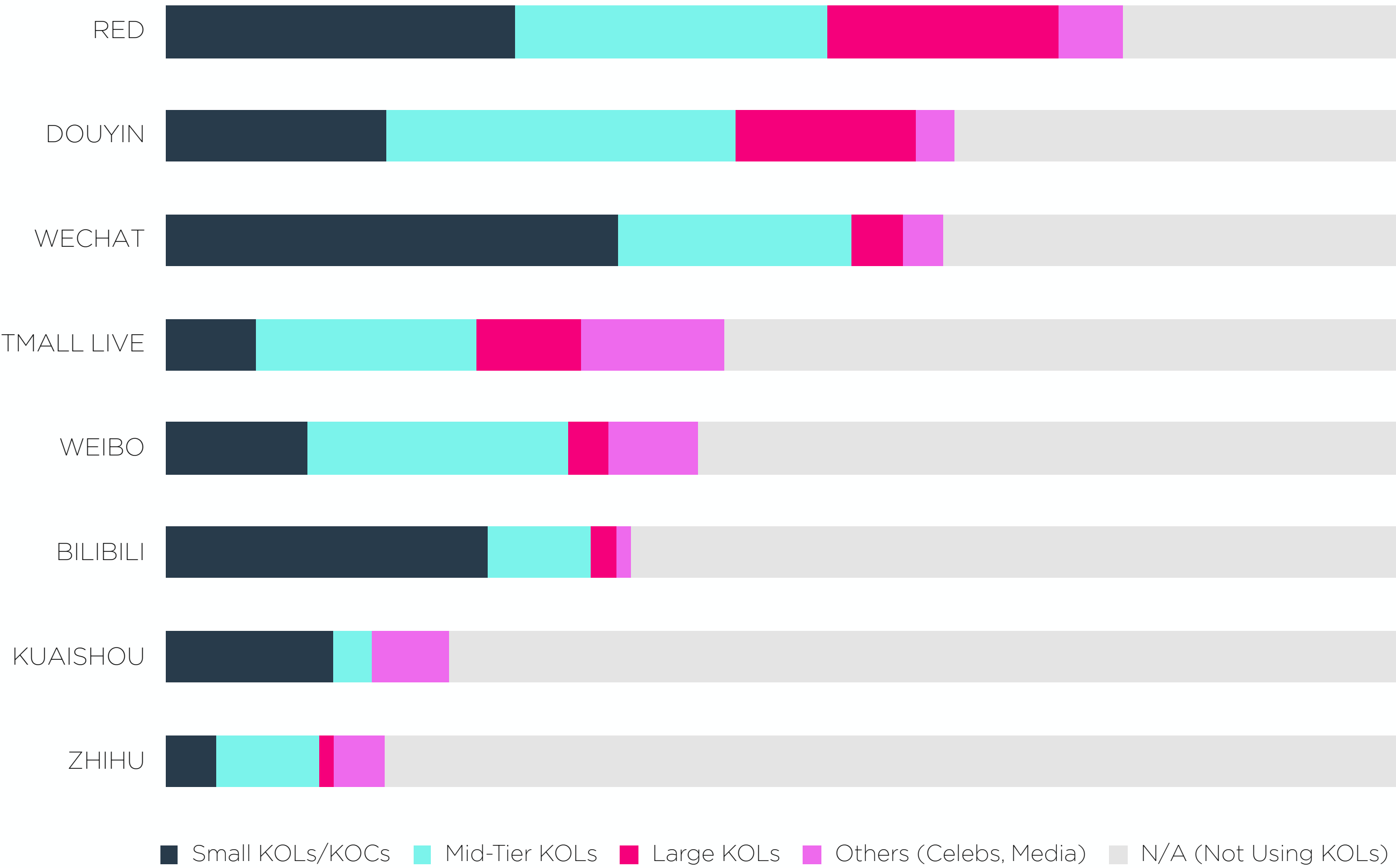
On RED and Douyin, mid-tier influencers are most commonly engaged, suggesting a preference for personalities who have both; (1)a genuine impact on ‘consideration’ while also, (2)providing significant reach, through larger follower counts. In this regard, brands are willing to level-up (to mid-tier) and pay more for influencers who have real impact on the channels that matter most for them (RED, Douyin).

On WeChat the selection of KOLs is skewed toward smaller KOL (KOCs - Key Opinion Consumers) who are integral for supporting private traffic and loyalty operations.

Overall, there has been a notable shift in preference toward smaller (less costly) influencers during the past few years.

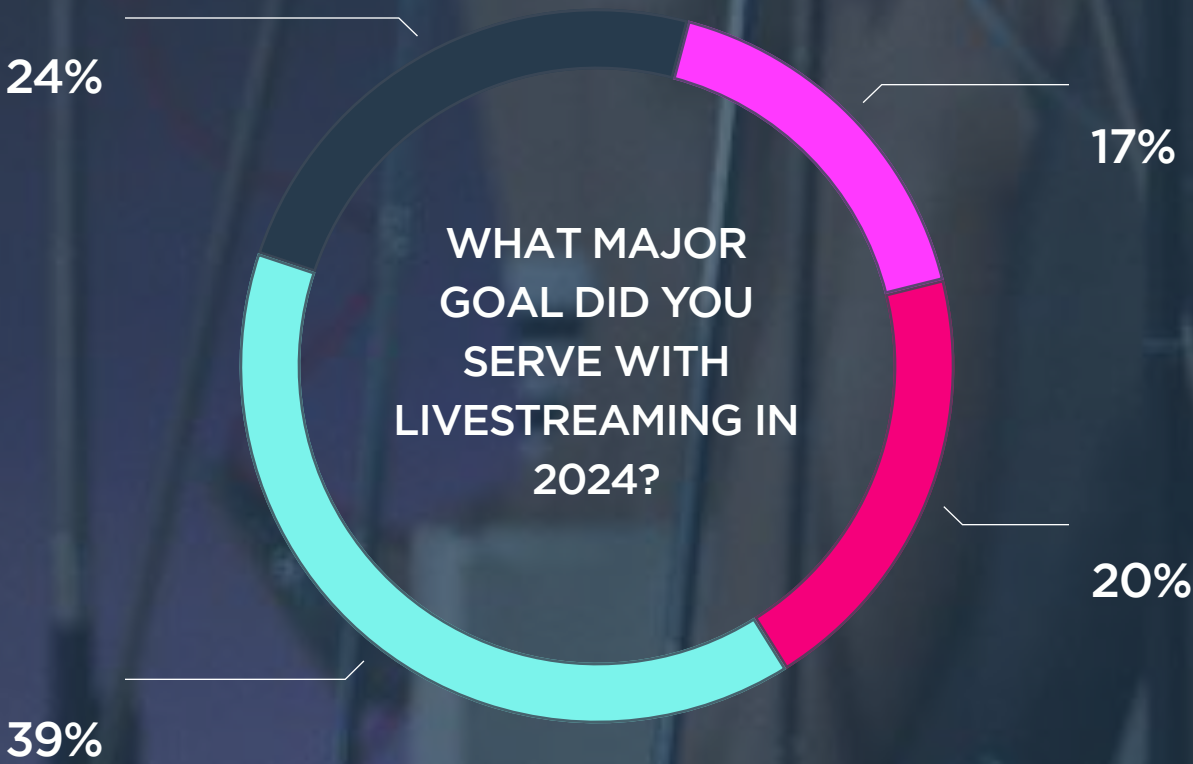
In the survey, brands were not provided with definitions for KOL size/profile. The size/profile can be vastly different depending on the channel (eg. a small KOL on Weibo could be a mid-large KOL on RED). In other words, brand respondents used their own judgement for KOL size/profile. Therefore, this data serves a rough guideline, not an ‘apples-to-apple’ comparison.

WHAT SIZE/PROFILE OF KOL DO YOU MOST COMMONLY USE PER CHANNEL

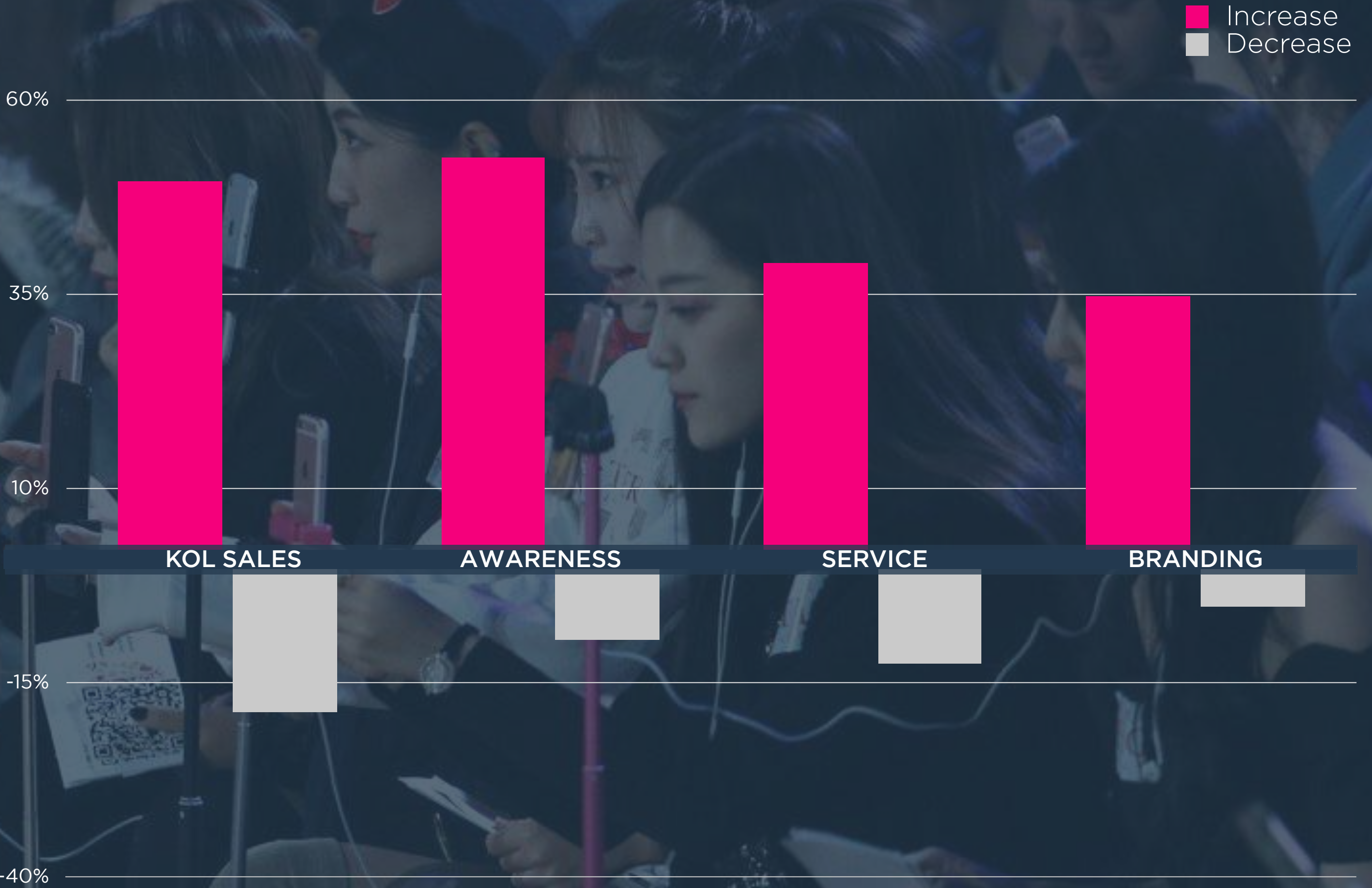


LIVESTREAMING CONTINUES TO BE AN IMPORTANT TOOL IN THE CHINA PLAYBOOK. LIVESTREAMING FOR SALES, AWARENESS, SERVICE AND BRANDING ARE ALL PROJECTED TO INCREASE INTO 2025.

While the goals for live-streaming in China still favor sales, brands have had very mixed results with selling. Some brands feel that they have been burned by overly expensive KOLs and have backed off of working with big influencers, where little-to-no margin is left for the brands in sales campaigns. At the same time, awareness and service goals have increased. Branding goals continue to lag behind the others - especially as revenue imperatives have escalated.



HOW DO YOU PLAN ON ADJUSTING LIVESTREAM PRIORITIES FOR 2025?



BRAND
GROWTH

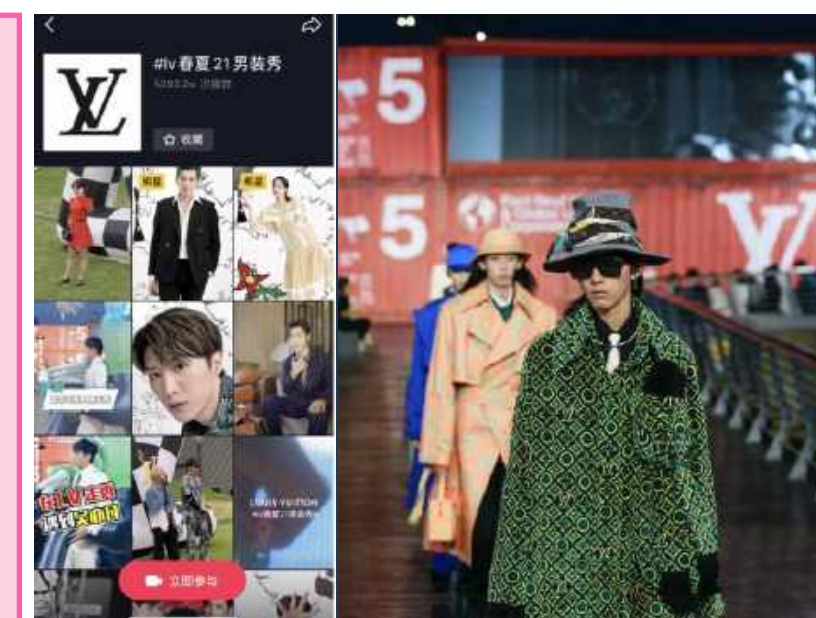
REACH

3rd Party KOLs/Media can kick-start awareness, interest in (a new) brand, product ... and/or widen appeal to new segments.

Livestream brand introductions and product demos from KOL accounts can boost overall product awareness and improve credibility.

BRAND STORY

Brand storytelling, entertainment, interest-based content creates meaningful, lasting engagement with audiences.



Brand "moments" and digital events, improve equity and DTC metrics. LV's SS'21 men's fashion show was live-streamed on Douyin, with 52m+ viewers.

KOL SALES

KOL Livestream sales spark the link between attention-action, to generate quick sales and ...ideally establish "hero products."



Austin Li, using his own channel to sell to his audience, helped create a hero product for Florasis. He is a true advocate for this brand but for most brands, it can be coldly transactional.

SERVICE

Institutionalized broadcasts by brands (customer service, product demos) - elevates consideration, re-enforces trust.

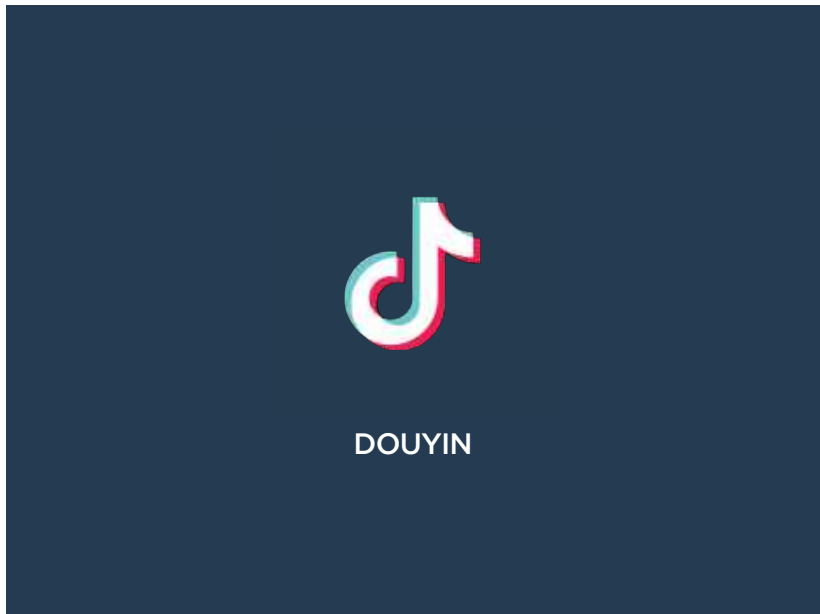


"Gucci Live" (left) is a livestreaming program for personal shopping and product Q&A.

Beauty brands have institutionalized daily Q&A, demo's and service from "owned" accounts.

CONVERT
SALESLOW EQUITY
(Rent Audience)HIGH EQUITY
(Retain Audience)

BRAND
GROWTH



REACH

3rd Party KOLs/Media can kick-start awareness, interest in (a new) brand, product ... and/or widen appeal to new segments.

BRAND STORY

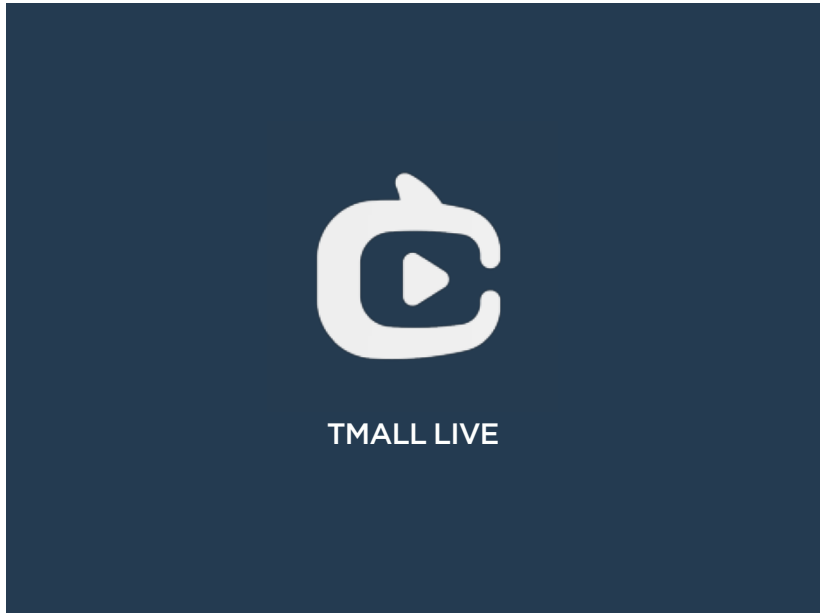
Brand storytelling, entertainment, interest-based content creates meaningful, lasting engagement with audiences.



Douyin leads in terms of current viewer momentum. But for boosting brand awareness, companies should prioritize the KOL first, and the channel second.

Brands looking to build equity are doing so with their own channels (and hosts), while "guest KOLs" increase viewership. RED may emerge as a priority channel for brand storytelling.

CONVERT
SALES



KOL SALES

KOL Livestream sales spark the link between attention-action, to generate quick sales and ...ideally establish "hero products."

SERVICE

Institutionalized broadcasts by brands (customer service, product demos) - elevates consideration, re-enforces trust.



Tmall Live, Douyin and Kuaishou hold the lion's share of GMV for livestream sales. BiliBili, WeChat and RED also hold some promise in this space.

Service staff and "bosses" are taking to "owned" livestream channels to talk about products, provide service. With its CRM slant, WeChat could be primed for "service" streams.

LOW EQUITY
(Rent Audience)

HIGH EQUITY
(Retain Audience)

APPROACH TO CRM

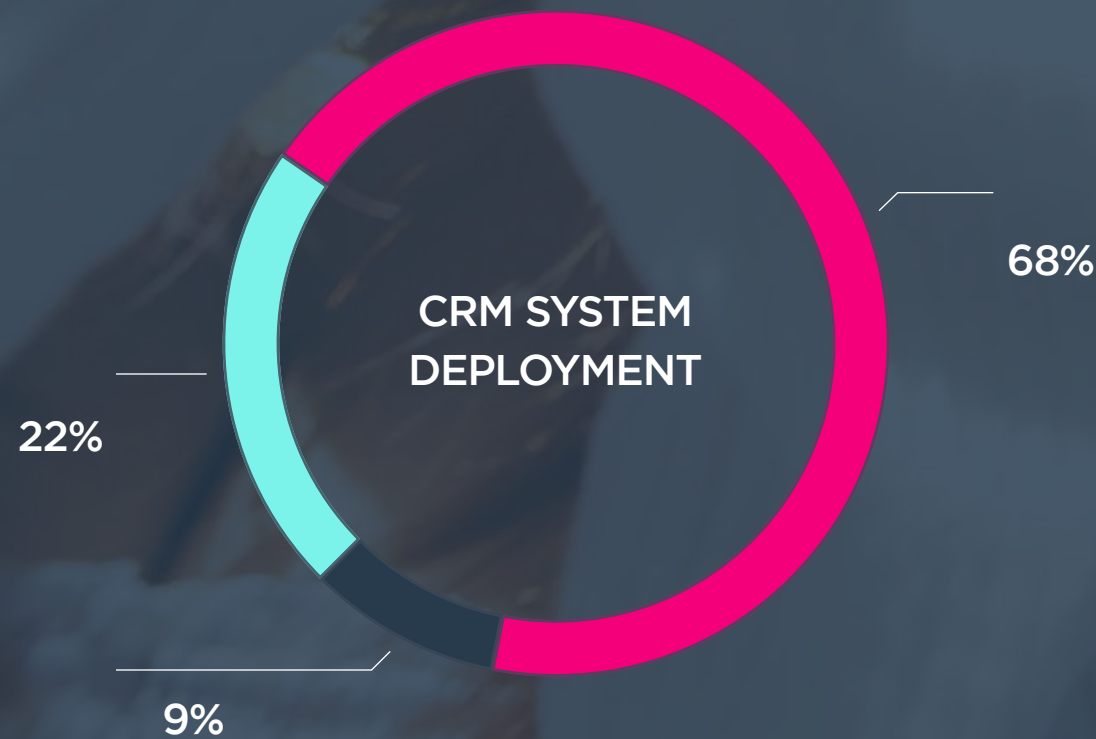
(AND PRIVATE TRAFFIC)

WECHAT ITSELF IS A CRM SYSTEM AND, FOR MOST BRANDS IS THE DEFACTO INTERFACE FOR CUSTOMER ENGAGEMENT, SERVICES AND SUPPORT. SO, IT MAKES SENSE THAT ALMOST ALL SURVEYED BRANDS WHO HAVE DEPLOYED A CRM TOOL HAVE CONNECTED IT TO WECHAT.

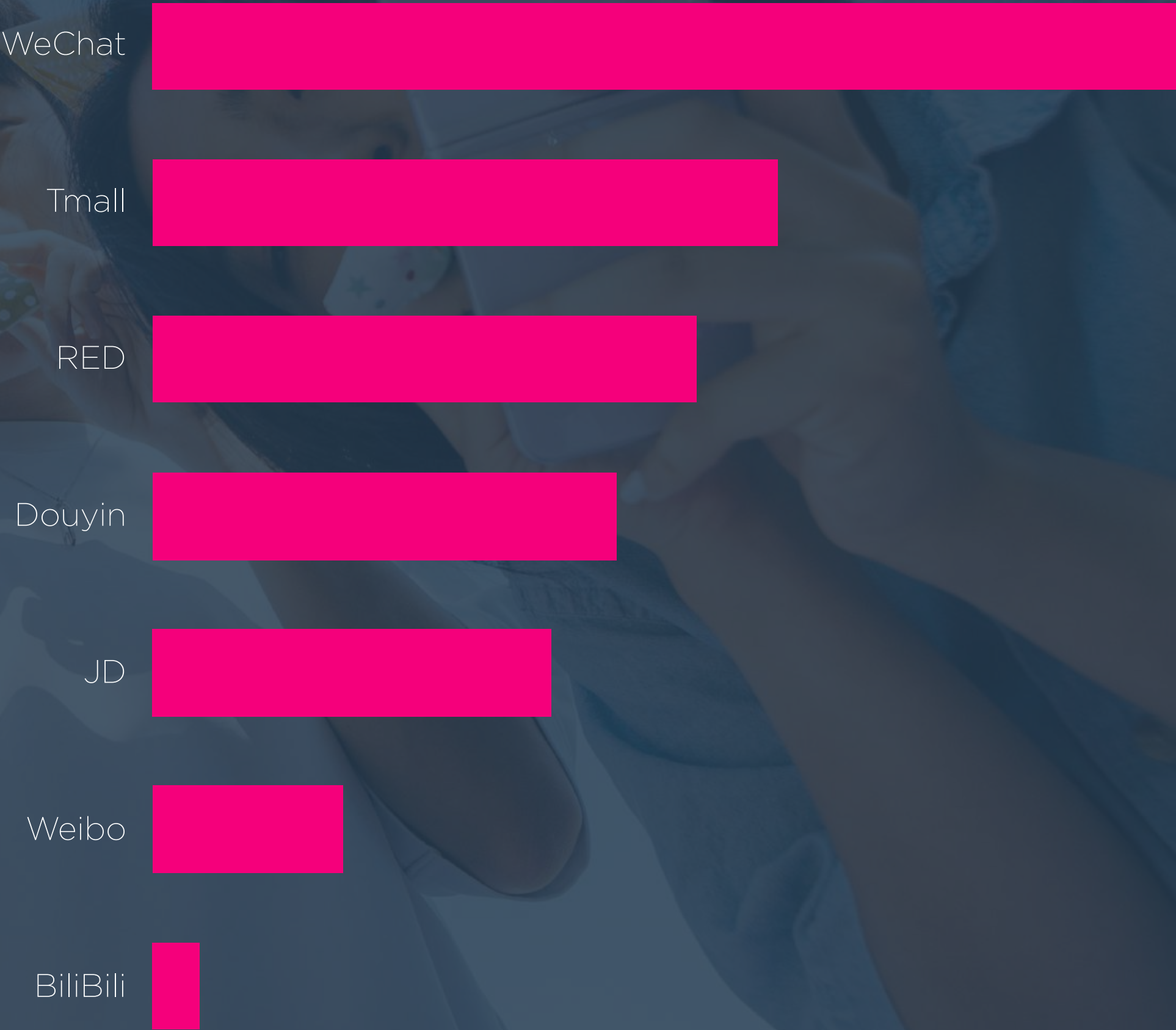
TMALL, RED AND DOUYIN ARE ALSO POPULAR CHANNELS FOR CRM MANAGEMENT.

62% of brands who have implemented a CRM solution have four or more customer personas (segments). 22% of brands manage 3-4 personas (segments). 16% of brands manage 1-2 segments.

DOES YOUR COMPANY HAVE A COMPREHENSIVE CRM SYSTEM THAT ALLOWS YOU TO COLLECT DATA FROM MULTIPLE CHANNELS?



WHICH CHANNELS ARE MEASURED WITH YOUR CRM SYSTEMS & REPORTING?



MINI-PROGRAMS, CREATED WITHIN PLATFORMS LIKE WECHAT, ACT AS PROPRIETARY CHANNELS THAT ENABLE BRANDS TO GATHER DATA AND MAINTAIN GREATER DIRECT ENGAGEMENT WITH CONSUMERS.

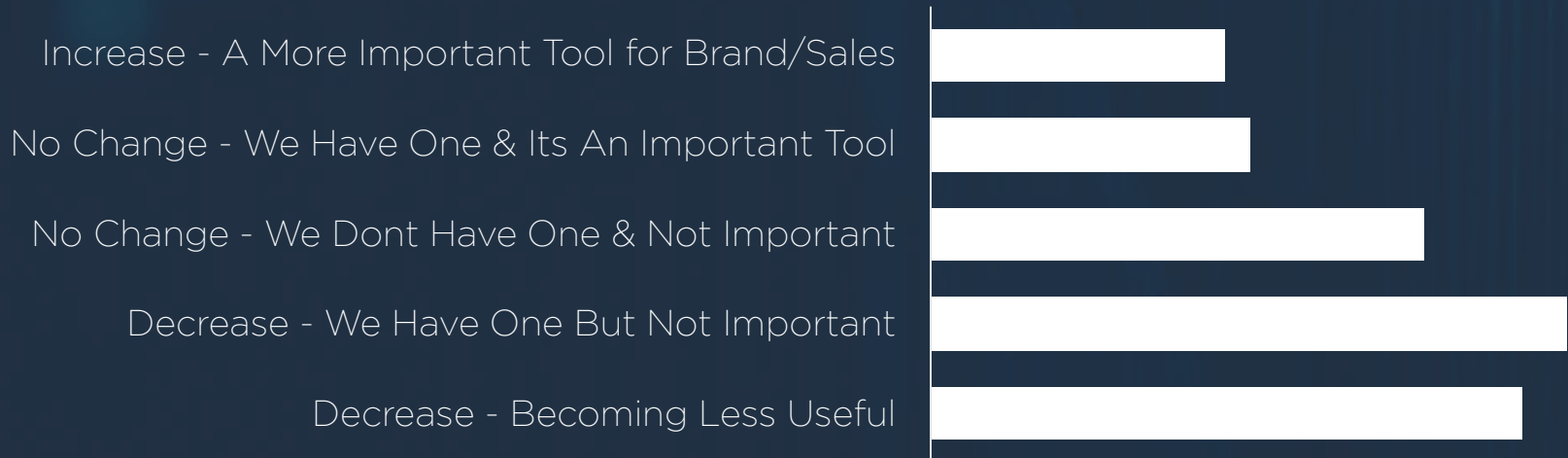
WECHAT DOMINATES HERE FOR A NUMBER OF REASONS: MASSIVE USER BASE, VERSATILITY, SOCIAL COMMERCE, A MOBILE-FIRST APPROACH AND AN EVOLVING SUITE OF FEATURES.

Brand websites (.CN) are still under-used compared with the rest of the world. Websites may become more utilized in the future (especially as a way of building more unified regional communications), but that growth isn't happening rapidly in the short-term. The results of this year's survey also suggest that the usage of websites (.CN) is minimal.

WHICH CHANNELS DOES YOUR BRAND HAVE MINI-PROGRAMS ON / WITH?



HOW DO YOU PROJECT THE ROLE OF A BRAND WEBSITE CHANGING IN THE NEXT 1-2 YEARS FOR CHINA MARKET?



3

25 CONSIDERATIONS

- 39 ECONOMY UNCERTAIN
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25

CONSIDERATIONS

FOR 2025

25 CONSIDERATIONS FOR 2025

Key economic and cultural considerations shaping the China marketing landscape for 2025.



MACRO - ECONOMY



BRAND STRATEGY



CONSUMERS



RETAIL

ECONOMY STILL UNCERTAIN

THE LAST FEW YEARS IN CHINA HAVE BEEN SLOW & FRUSTRATING FOR CONSUMERS

1

September 2024 data from MOFCOM, China's retail sales growth recorded a 3.2% year-on-year increase, marking the strongest pace since May, driven by key categories like household appliances and entertainment products. Government stimulus aimed at encouraging more appliance and electronics purchases should help certain categories.

Since Covid, China's consumer economy has been stuck in neutral - with brand managers and consumers waiting for the mood to improve. China has entered a new paradigm where breakneck growth has been replaced by slower, more cautious - and sometimes frustrating gains. The property market devaluation orchestrated by the government has had the most profound effect on confidence. But Chinese equities are also operating near lows. When taken together, these negative 'wealth effects' are sapping the confidence of consumers. In this context, consumers will be more prudent, buying less of what they 'want' and more of what they 'need.' China's middle class has expanded greatly over the past decades yielding a massive consumer market. But brands will now need to be much more targeted in who and how they approach growth.

CHINA ACCOUNTS FOR A VERY LARGE SHARE OF CONSUMPTION

Chinese consumers do, in fact, account for a very large share of global purchases. China ranks either number one or two, typically accounting for 20-30% of global consumption across a wide range of consumer categories. So, while China’s household share of consumption appears low and savings appear high, China is a massive market accounting for a very large share of global end consumption.

CHINA HOUSEHOLD CONSUMPTION QUESTIONS

China metrics never really add up... especially when viewed through a Western, developed market lens.

The truth is that there are more questions than answers when it comes to the true size of China’s middle class, it’s household savings rates and household consumption intentions.

Official macro-stats suggest that Chinese households are massive savers (in aggregate, they save a whopping 35% of household income). Putting a firm number on China’s middle class is equally challenging. Estimates for its size range from 300-600 million, with a very wide range in criteria for what categorizes ‘middle class.’ A reasonable assumption is that China’s middle class is near 350+ million people, earning between US\$15,000 - 75,000/yr. By comparison, US median household income is ~\$80,000. Based on income estimates from the NBS, only 1-2% of China’s top earners report income above USD75,000 (RMB500,000).

While a straight income analysis works really well in markets like the US, in China, forecasting consumption relies on a complex understanding for; the wealth effect (from property), other (unofficial) sources of income, and family wealth (especially important in a one-child nation, where a young person has the full support from two parents and four grand-parents).

SHARE OF GLOBAL CONSUMPTION: CHINA VS USA

Approximate share of global consumption in key retail, consumer categories as of 2024

CATEGORY	CHINA	USA
Luxury	25% *	22%
Fashion	35%	20%
F&B	15-20%	18-22%
Electronics	30-35%	25-30%
Automotive	31%	20%
FMCG	15-20%	18-22%
Beauty & Cosmetics	15-20%	20-25%
Household & Appliances	25-30%	18-22%
Travel Expenses	15-20%	18-22%

**Luxury Sales: When purchases made outside China are factored in, Chinas’ share could be as high as 50%*

DEFLATIONARY PRESSURES

CHINA'S RECESSION MIGHT BE A SIGN OF THINGS TO COME IN OTHER MARKETS GLOBALLY

2

Richard Koo, the chief economist at Nomura, believes that China is in the midst of a Japan-style deflationary spiral and balance sheet recession. Having had a front-row seat for Japan's dip into deflationary spiral from the 1990s, Koo is in a good position to make an assessment of China's current economic challenges.

While China's overall growth rate is still being recorded as positive (4-5% GDP growth forecast for 2024), the economy is facing a deflationary trend and, for an economy that has been running red hot for decades, is now facing recessionary pressures. Data from Moojing on China's retail ecommerce market illustrates these deflationary challenges. While China's ecommerce sales (GMV) will be up between 12-15% for 2024, the volume of products sold will have increased by 38%. At the same time, offline retail shops are closing due to weak sales and margin pressures. Most sales growth in 2024 came as results of steep discounts and incentives. We can expect more of the same in 2025, with people holding off on purchases, with the expectation that prices will go down further in the future.

WHO ELSE IS ALONG FOR THE RECESSIONARY RIDE?

Recessionary trends appear to be growing in markets around the world - with some countries already turning down (China), and others only showing subtle, early signs they could be down-shifting (USA).

So, while pundits struggle to answer questions about how China's domestic economy might respond to its current malaise, the more important question might be how well China might respond, relative to other global markets.

Unlike Japan (in the '90s), who entered a deflationary spiral on its own, China might be ahead of the curve - in a globally synchronized rollercoaster - rather than being alone in adjusting to a structural reset.

ON A RELATIVE BASIS CHINA MIGHT LOOK GOOD

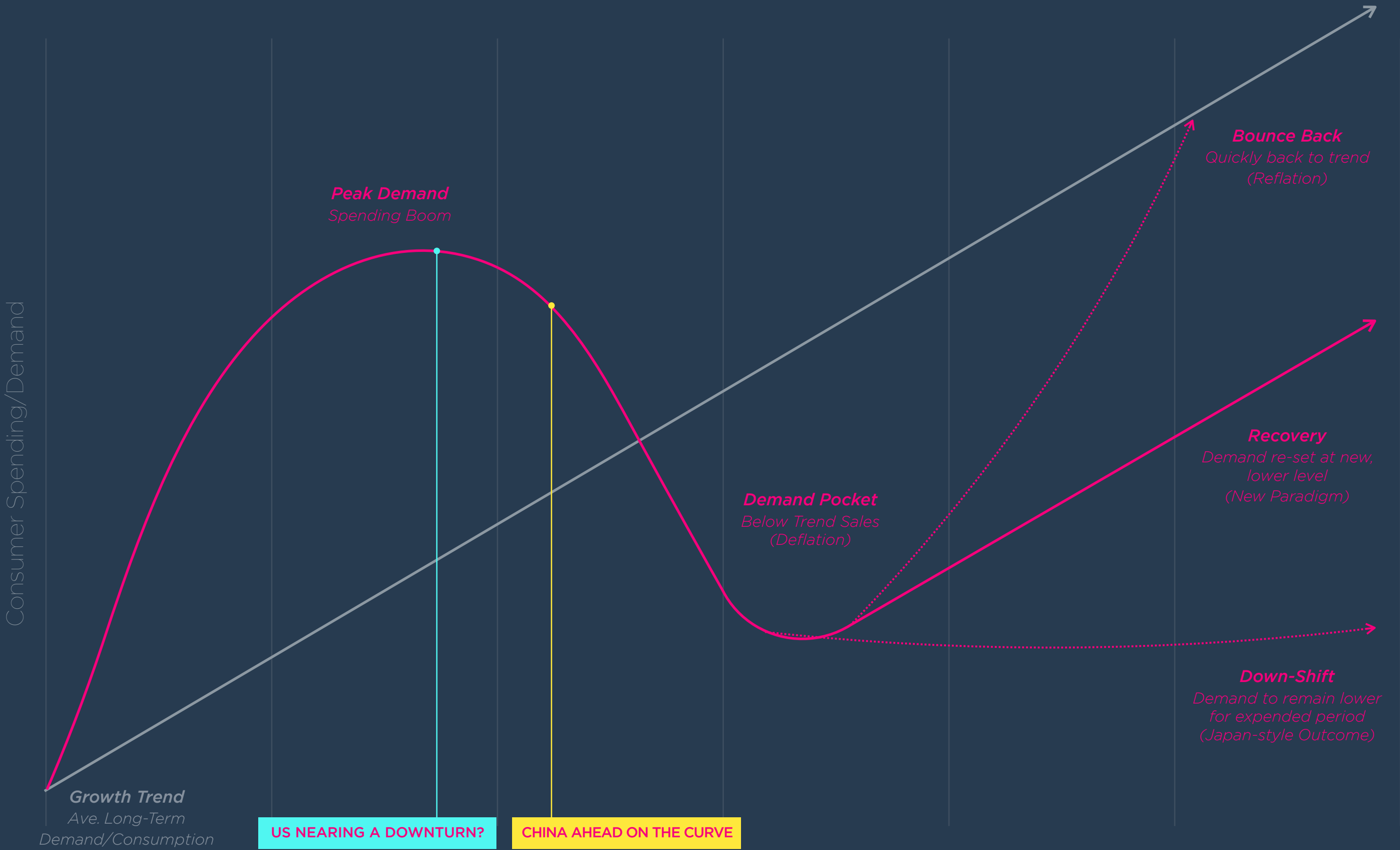
If China is simply further ahead on a boom-bust-rebound rollercoaster, then it might still be a more fruitful market on a relative basis - when compared to other markets. In this scenario, brands should be cautious about pulling back too far on China investments - at least until growth forecasts for other regions become more clear.

WHAT PATH WILL CHINA TAKE?

There tends to be a bit of an ALL OR NOTHING approach to evaluating China from the outside. China is either seen as the "Big Prize" in global retail or a depressed market on the verge of collapse. However, China is most likely to yield to more of a middle path - with short-term deflation, followed by a long, slow return to growth. In this new paradigm, while it may never return to its top-speed growth mode of consumption, it would find a firm footing for steady growth.

WHERE TO NEXT FOR CHINA'S CONSUMER ECONOMY?

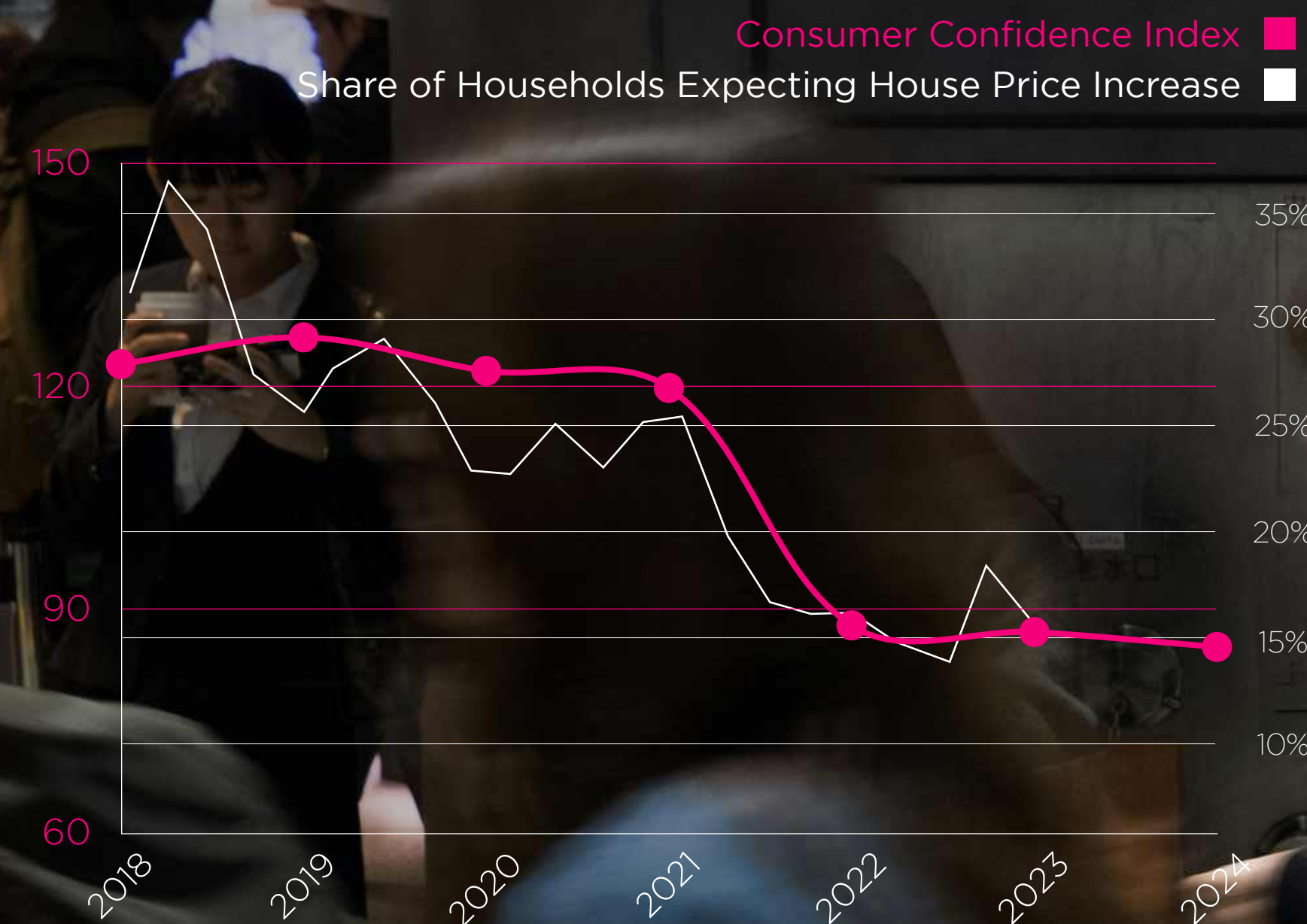
Projecting scenarios for China's consumer economy: from peak demand, to recession and recovery.



MIDDLE CLASS UNDER PRESSURE

CHINA'S MIDDLE CLASS ARE RE-TOOLING FOR A LONGER, HARDER PATH

3



Many people are worried about remaining part of the middle class - and about maintaining income levels. Side hustles, night school and professional education are rising in response to these concerns. There is a sense that the game has changed. Chinese middle class consumers are re-tooling for a much longer, harder path.

The middle classes in China are likely to retreat and face considerable pressures in the coming years. While there has been a rapid increase in wages for white collar workers in China over the past decades, the real financial gains (for most of the middle class) came from increases in property values. As the 'wealth affect' wears off, consumer habits will change. We are seeing this already with consumers being more selective, more prudent and thrifty with goods purchases. We are also seeing this with the dramatic pull-back in expensive dining and luxury travel. In China's new consumer paradigm, income will be more important than the 'wealth effect' (from gains in property). Income levels (and job security) will drive consumption choices of the middle classes. Brands need to align pricing and positioning around consumer income insights.

BRANDS STILL IN DISBELIEF

AFTER 30 YEARS OF ROBUST EXPANSION, IT'S HARD TO ADJUST TO LIMITS ON GROWTH

4

Post-Covid, a lot of brands were caught with excessive inventory, anticipating 'revenge spending' that never really materialized. This is true in China (mainland), in Hainan (HK and MO), as well as with key 'Daigou' hotspots. Anticipation of a return to the go-go years has taken a sobering turn as consumers have been slow to ramp back up.

Many brands are still in disbelief about the slowdown in China, choosing to imagine that a rapid rebound is just around the corner, and to pull-back now will yield marketshare to competitors. Too many brand managers (as of 2024) still want to follow through on overly ambitious expansion plans. They are like gamblers who always believe their number is up next, unwilling to adjust behaviour in the face of overwhelming signs of bad odds. Brands willing to play the long game are now more likely to win with a slow, steady approach than a pedal-to-the-metal impulse. Instead of playing 'chicken,' pressing for more expansion, prudent brands should get tactical and should plan for lower sales goals with more focused consumer segments. They should concentrate on offering much-improved value-for-money and deeper emotional value.

HONG KONG & MACAU REVIVALS?

AFTER A BRIEF REBOUND IN 2023, HONG KONG & MACAU RETAIL SALES ARE SLIPPING

5

In Hong Kong, day trippers aren't spending in the city. They call this tactical approach 'special forces travel' where visitors check-in at a few hot spots, share a snack and then return across the border to Shenzhen for the night. And, in Macau, visitors are focused on gaming not shopping now.

Hong Kong and Macau are both trying to revive and re-stimulate travel, retail and events/activities in the face of a mounting slowdown in mainland China. Both cities are investing heavily into events and activities to attract visits - playing into the post-pandemic urges for people to enjoy in-person events/activities. So the streets are busy and there is a palpable buzz. But, while both Hong Kong and Macau saw retail sales edge higher at the end of 2023, results are backsliding in 2024. Both cities rely on heavy tourism spending (particularly from mainland China) to keep retail numbers up. And, while both markets are inching back to pre-pandemic levels of tourist visits (80-85% of pre-Covid levels), retail spending is lagging behind the tourist numbers. The mainland tourists just aren't spending to the same levels as they did before.

EXPERIENCES ON THE UPSWING

CONSUMERS SEEKING EFFERVESENCE: TRAVEL, MUSIC, EVENTS THRIVING

6

This shift towards experiences and away from goods purchases reflects a counter-cultural movement, where China's GenZ are rebelling against older routines and cultural conventions. This movement has a similar gravity to the 1960s in the US, with youth starting to push hard against societal norms and older generations.

Consumers in China, especially younger ones, are flipping the script on spending preferences. The experience economy is gaining significant traction as a result. Over the past 20+ years, Chinese consumers consistently prioritized spending on goods. Shopping was a preoccupation, hobby and sport for China's newly affluent. But, in post-pandemic, GenZ China, experiences, activities and physical pursuits are taking over. Some of this comes from shrinking consumer budgets, and the choice to find low cost or no-cost activities. A larger part of this trend is the result of changing attitudes and a developing appetite for self-realization, fun and enjoyment. Put simply? All forms of events, activities, travel, games, sports, concerts and social events are thriving. On the digital front, location-based VR (XR) should play a major role in stoking this trend.

ACTIVE HOBBIES GROWING

SPORTS AND ACTIVE WEAR ARE GAINING MOMENTUM AS OTHER RETAIL BRANDS SAG

7

Sports, fitness and athleisure brands are among the real bright spots in China's lacklustre retail environment. While most luxury and street fashion brands have been sagging, athleisure players like Lululemon, Arc'teryx, Salomon, Wilson and Ralph Lauren have been growing at a steady clip.

Participation in sports and active hobbies have been growing steadily. Sports like running, cycling, swimming, hiking, tennis, skiing, snowboarding and skateboarding, together with outdoor/camping have been leading way. Over the past 10 years, it's been common to see annual compound growth rates of 10-20% for popular activities. China's successes on the international stage (eg. Pan ZhanLe in swimming, Zheng QinWen in tennis, Eileen Gu in snowboarding) have stimulated a lot of interest. But the growth of these hobbies is much more grassroots, with younger and older groups shifting their time, attention and passions towards these activities, often away from shopping & dining. Most of these activities had momentum before Covid, and since then, an increased awareness for wellness has further boosted interest.

HOME, FRIENDS & FAMILY MATTER

INTRINSIC VALUES ARE GAINING GROUND OVER EXPENSIVE, STATUS SEEKING ACTIVITIES

8

The downturn in the property market has had a profound effect on a nesting trend. In rising conditions, many owners expected to trade-up and out quickly, and so, never invested in the 'comforts' of home. People who may now be 'stuck' in current homes, are now investing in comfort, personalization and ambiance.

Covid, together with the post-Covid economic slump in China, has ushered in changes in behaviour - with greater interests in time spent at home, and with friends and family. In the past, it was common for mainstream Chinese consumers to have the latest fashions and handbags at the office and have barebones furnishings at home. The 'portfolio' of consumption was tilted towards outward facing goals, prestige and public status. The 'portfolio' (*and related values*) are slowly shifting toward more intrinsic, personalized benefits such as comfort, harmony and wellness. As part of this shift, consumers are less likely to dine out at expensive restaurants, more likely to experiment with a dinner made at home for friends. Young people, who in the past would've been out at nightclubs or KTVs on a Friday night, are now playing games with friends at home.

CONSUMERS HUNTING VALUE

VALUE AND DISCOUNT BRANDS THRIVING AT THE EXPENSE OF MIDDLE CLASS OFFERINGS

9



luckin coffee

For consumers in China in 2025, purchases are about getting a JOB DONE. Brands need to answer critical questions about what 'job' they fulfill in this context. This question will force many brands to stretch their brands to more extreme positioning(s). This is not a time to be stuck in the middle.

As consumers shift more toward value and discount options, the Starbucks model is under serious pressure in China. So much so, they are now looking at divesting from China altogether. Once a prestige play, Starbucks is now stuck in the middle, as a overly expensive option for a middle class facing budget pressures. Why spend RMB30-45 at Starbucks when you can get a daily coffee at Luckin or Manner for 3-4x less? Why go to Starbucks for that important meeting (with a coffee snob) when there are a plethora of specialty and luxury cafes? It doesnt help that every luxury fashion brand in China has a boutique cafe attached to it (here's looking at you 'Ralph's'). Given the scale of Starbucks, it really doesnt have the scope to move up-market across the board AND, so may have to reduce prices and provide a streamlined, discount/value offering.

PREFERENCES ARE PIVOTING

BRANDS DESIGNED FOR U.S. MIDDLE CLASSES STRUGGLE WITH POSITIONING IN CHINA

10

Leading brands from the US are mostly positioned around middle class buyers (the 50% of household making more than \$80K/yr). In the China context, Nike, Starbucks & Apple products hit-the-mark for only a small group of high-income earners. They are middle class products positioned for luxury buyers (minus the luxury aura/amenities).

There is a restructuring of China's consumer strata, with middle classes now focusing on value and discounts, where previously they were mid-market and luxury buyers. Given the troubles with China's property market and the erosion of the 'wealth effect,' analysis of incomes is more important when determining the capacity and willingness of consumers to buy. Wealth from property (previously) could augment lower incomes, pushing buyers into luxury buyer strata, well above where incomes would otherwise suggest. Now, there is a sharp split in consumer decisions taking place, with value/discount offerings making MAJOR gains, at the expense of more expensive global offerings. Chinese brands are enjoying some tailwinds from nationalist preferences but its their ability to deliver appropriate customer value that is their real advantage.

LUXURY SALES UNDER PRESSURE

MARGINAL (MIDDLE CLASS) LUXURY BUYERS ARE STARTING TO PULL BACK

11



In the past, mid-market brands often made superficial re-positioning attempts, trying to wrap themselves in a luxury veneer. Prior to Covid, consumers enjoyed flirting with these pseudo-luxury offers but the avenue for false luxury has ended. Attempts to up-shift like GM with its Durant Guild are likely to be short-lived in this more selective environment.

In the early aftermath of Covid, as mid-market brands were recalibrating and retrenching from sales slumps, luxury still seemed immune to China's consumption lags. But, in 2024, luxury brands started to really feel the pinch in China. Rumors from October 2024 suggested that Chanel was planning staff cuts of up to 50% for its mainland operations. LVMH Group, Kering Group, Richmond Group, Burberry, Hermes and Michael Kors also reportedly made modest staff cuts in 2024. Burberry, Gucci, Coach, Hermes and a range of other brands also reduced store counts. Marginal luxury buyers are starting to hold back from buying luxuries. In response to this, luxury brands will need to carefully re-center themselves around their core affluent customer base - and pare back massified offerings designed for occasional middle-class buyers.

POSITIONING IS EVERYTHING FOR 2025

In [Totem's 2024 China report](#) we explore the challenges of re-positioning in great detail. Brands in all categories will need to get much more clear about presenting either a value, discount or premium offering.

In China's new consumer paradigm, there will be less scope for premium players and relatively greater scope for value/discount. There will be almost no scope for brands without a clear position (aspirants).

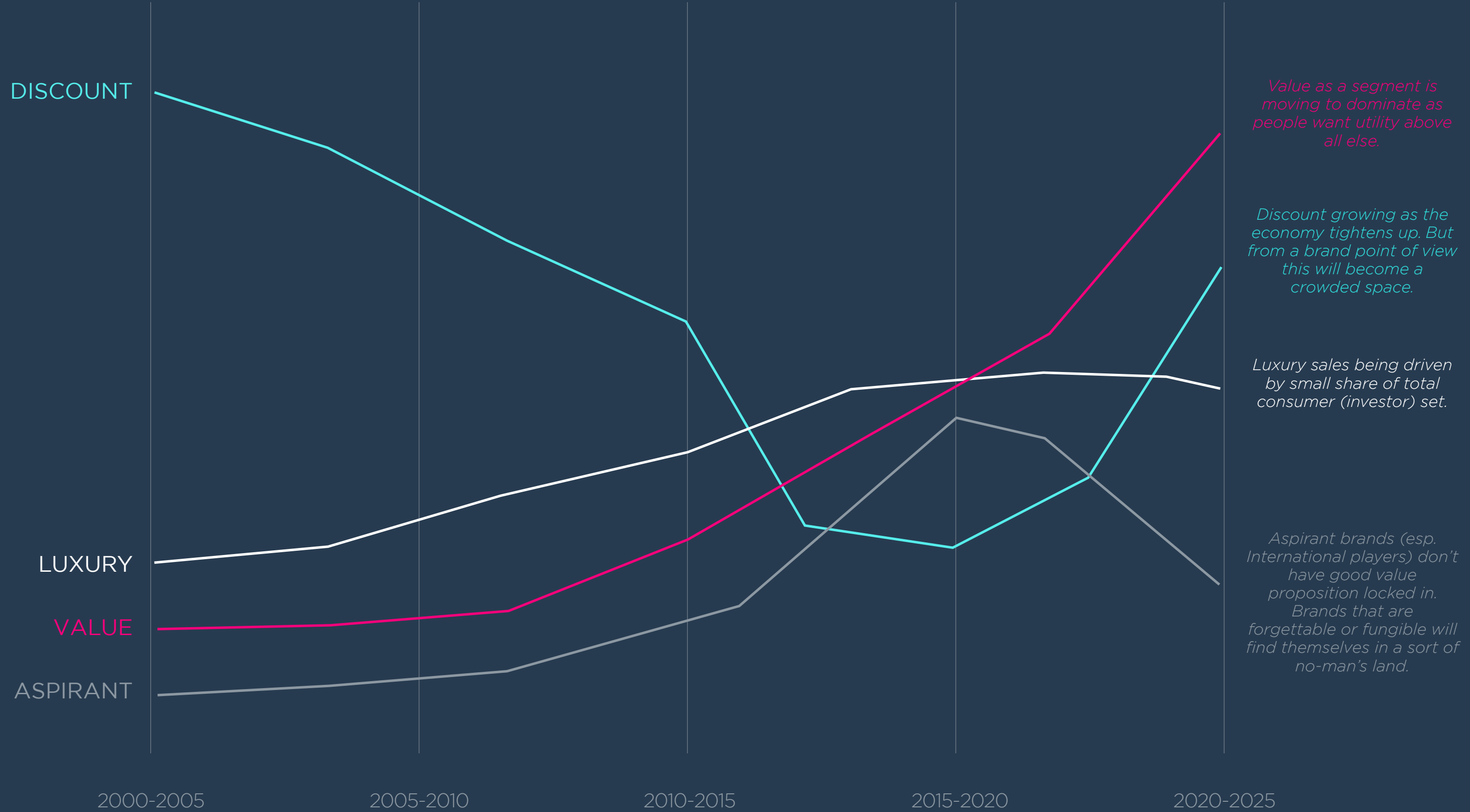
With China's middle classes in retreat (and regrouping), understanding brand positioning (and pricing) are essential. The value proposition to customers needs to be blunt and compelling.

'TYPICAL' CHINESE CONSUMER CHOICES

The following chart illustrates the relative weighting of consumer choices in China - the balance of purchases between discount, value, aspirant and leader/luxury brands over the course of the last 20+ years. - for a typical consumer in top-tier market. In the early '00s discount ruled for the majority of purchase decisions, with a reserve for luxury brands that were marks of status and success. From 2000 to 2020 (Covid), luxury, value and aspirant brands all enjoyed considerable gains, as discount receded (as a share of total purchase portfolio). Covid and the subsequent economic downturn have resulted in discount choices moving forward again, luxury moving sideways and value increasing. Aspirant brands (who offer neither good value, nor good status/story), will be under pressure.

RELATIVE DEMAND OF PRODUCT POSITIONS

Progression of typical consumer choices in China from 2000 - 2025



CHINA'S NEW 20:80 RULE

A SMALLER SET OF BRANDS WILL LAY CLAIM TO A LARGER AUDIENCE SHARE

12

Past analyses by Totem revealed that there were 4-12x more top brands, per category in China (than in US/EU). China has been the 'big prize' globally, with brands from all corners of the globe chasing success there. In this over-saturated retail environment, the concentration of market share has been very low (eg. Top 25 brands = 40% share). China's retail environment has been due for consolidation.

Moving forward a small number of brands (20%) may dominate the bulk of any single consumer's attention/consideration (80%). In China's old retail paradigm, consumers were incredibly promiscuous, wanting to sample an incredible range of brands as-and-when they became available or whenever they came into the trend spotlight. In this environment, China was able to support an incredible number of competitors in each category - more category players than any other market globally, by a long measure! But, as we move into 2025, we will see a dramatic contraction of players in each category, with space for only a few top players. In other words, the leading brands will aggregate an increasing share of sales. There will be leaders per category in the discount, value and luxury/premium segments, with little room for mid-market aspirants.

WINNING REQUIRES A FORMULA

ONLY CATEGORY LEADERS, VALUE & SPECIALTY BRANDS REMAIN IN GROWTH MODE INTO 2025

13

There has been a lot of scope (still) in the market for small treats (snacks, drinks) which bring small victories (joy) to customers who are out for a day of window shopping or taking a break from work. Brands like Chagee (milk tea) and Tim Hortons (coffee) have been powering ahead. Tim Hortons' recently opened its 1,000th store in China.

It's hard to find brands who are out-and-out winners in China's current consumer economy. The majority of brands in China (both foreign and domestic) have had underwhelming results over the past few years. In this contractionary consumer paradigm, lessons about brand positioning, distinctiveness and bravery are more important than ever - and it's clear to see who has applied these lessons well. There are still winners of course. The real winners have a clear formula, and are; (1) distinct, peerless, brave, exciting/novel/interesting, (2) speciality players in areas of growth (such as with sports/hobbies), as well as (3) the ones who offer great value to customers. Category leaders should staunchly defend those positions. Brands who can dial-up distinctiveness should do so. All other brands need to focus on offering more value and utility.

AS CHINA'S CONSUMERS ADJUST SPENDING
HABITS AND BECOME MORE SELECTIVE
BRANDS NEED TO FOCUS-IN ON BUILDING
WINNING FORMULA'S BASED ON PRICING
AND POSITIONING.

DURING RECESSION HAVING A CLEAR, DEFENDABLE POSITION IS CRITICAL

HIGH PRICE

BASIC QUALITY
PRODUCT

In a downturn, Aspirants will be tempted to pivot toward discounting. To stay competitive, these brands need to refine positioning quickly.

Brand - China Positioning

Aspirant brands are in a sort of 'no-man's-land,' still trying to figure out a clear positioning. They are predominantly foreign brands, with pricing mismatched to value.

Brand - China Positioning

This space has traditionally been the domain of foreign brands. Chinese brands are joining the ranks, especially in areas where technology can be applied to create superior value.

Leader brands must continue to assert leadership position, re-affirming their place as top choice in categories, while upgrading value to key customers.

HIGH QUALITY
PRODUCT

Discount brands in crowded categories may be overwhelmed in race to bottom, forcing many out of the race, unless they improve value.

Brand - China Positioning

Chinese producers dominate here, with cheap products aimed at turning over quick, low-friction sales. As the economy tightens up, OEM players will race to the bottom to match consumer budgets.

Brand - China Positioning

This is the area where Chinese brands really dominate. Chinese brands have dialed in a quality-value proposition where pricing is just above discount, with quality getting close to leaders.

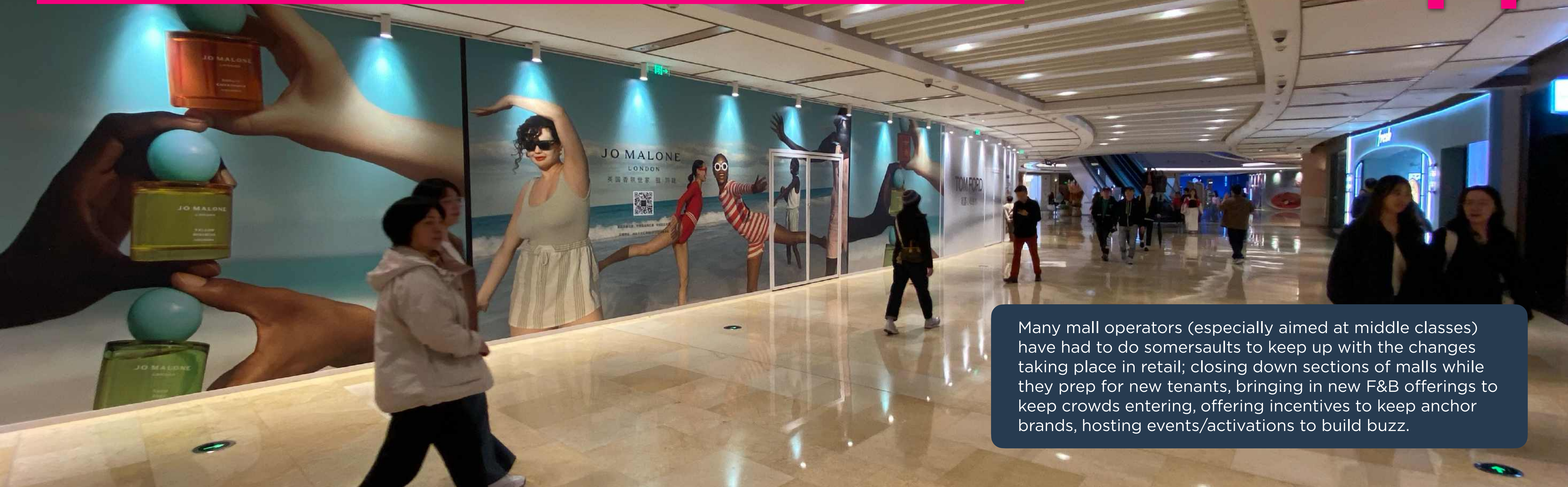
Value brands need to re-affirm value, while edging toward taking leadership positions - and must avoid falling into discounting dilemmas.

LOW PRICE

THE GREAT RETAIL REMIX

LOCATION SELECTION AND GOALS FOR OFFLINE RETAIL ARE SHIFTING DRAMATICALLY

14



Many mall operators (especially aimed at middle classes) have had to do somersaults to keep up with the changes taking place in retail; closing down sections of malls while they prep for new tenants, bringing in new F&B offerings to keep crowds entering, offering incentives to keep anchor brands, hosting events/activations to build buzz.

If you spend time in the top retail locations of Shanghai or Beijing, you will notice an incredible amount of tenant turnover and constant remixing of shops. Almost all retail brands have reduced physical store counts in China over the past few years. Only the bravest and most successful brands continue to add to their retail footprints as we enter 2025. In addition to reducing storecounts, brands have also been rotating out of conventional mall locations and into lower cost, more novel, more 'local' hotspots. In addition to being lower cost, these 'local' (hot-spot) retail locations also provide scope for creating more fun, experiential retail models, where the brand can more fully capture the attention and excitement of its customers - and have those memories be more singularly focused on their brand (not clouded by neighboring brands).

ONLINE SALES CONTINUE TO GROW

WHILE OVERALL CONSUMPTION IS SLOWING & OFFLINE IS IN CONTRACTION, ONLINE IS GROWING

15

While Alibaba (Taobao/Tmall) and JD.com were flat in 2024, the more social-focused channels experienced rapid growth rates (year-over-year); Pinduoduo up 36%, RED up 22%, Douyin up 19%, Kuaishou up 15%, and WeChat up more than 28% (according to Moojing).

As brands retreat from overly large physical footprints, online sales are being relied on to pickup the gaps and support revenue targets. In short, more hope is being put into online sales as brands look to bring overheads down. Online, ecommerce was up between 12-15% in 2024, while the volume of products sold online increased a whopping 38%, according to data from Moojing. Discounting and incentives were heavily utilized to drive these gains in 2024. The other notable dynamic with online sales in China is the push towards more DTC (direct-to-consumer) and more socially powered (WOM) selling, such as with private traffic on WeChat. Brands who are under serious margin pressure are leaning heavily on social channels (WeChat, RED) - coordinating tightly with offline and CRM systems - to steer customers toward these higher margin channels.

INFLUENCERS AS SILVER BULLETS

BRANDS TURN TO INFLUENCERS TO SOLVE AN ARRAY OF ISSUES

16

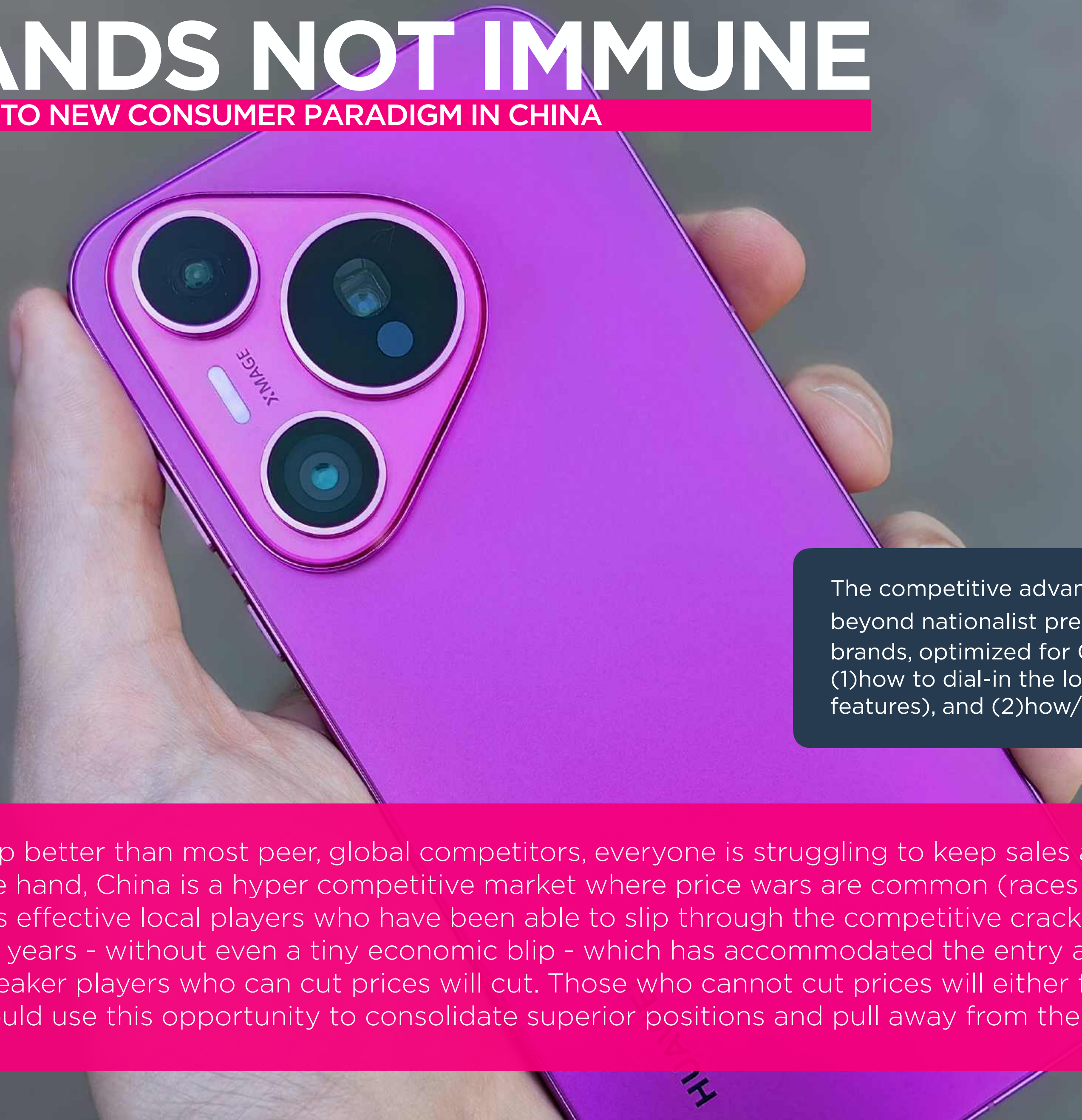
RED, Douyin and WeChat are the key channels for influencers into 2025. Medium to large influencers on Douyin are targeted to build reach. Small-to-medium influencers on RED are used to spark discovery, increase consideration and support private traffic. Smaller-to-medium influencers on WeChat provide critical support for private traffic goals.

Influencers continue to be a mainstay of the China marketing playbook. And in the current context where brands are looking to drive gains through social commerce, boost DTC with private traffic and become more cost effective (eg. cutting agency, production and media budgets), influencers will be viewed as ‘silver bullets’ capable of achieving multiple goals concurrently. Whether the influencer is being asked to help convert a sale or produce a brand video, there is a unique efficiency that comes from combining (with one resource); an existing audience of followers, the ability to influence and improve consideration, the ability to create content, with the potential to achieve break-through results (either from viral/organic reach or from sales conversion).

LOCAL BRANDS NOT IMMUNE

CHINESE BRANDS ALSO ADJUSTING TO NEW CONSUMER PARADIGM IN CHINA

17



The competitive advantage of Chinese brands go well beyond nationalist preference, "Guochao" (国潮). Local brands, optimized for China, have a clear understanding for; (1) how to dial-in the local value equation (price/positioning/features), and (2) how/when to get behind cultural trends.

While Chinese brands are holding up better than most peer, global competitors, everyone is struggling to keep sales and margins up in this contractionary environment. On one hand, China is a hyper competitive market where price wars are common (races to the bottom). And, at the same time, there are still a lot of less effective local players who have been able to slip through the competitive cracks. The market has been in hyper growth mode for the past 30 years - without even a tiny economic blip - which has accommodated the entry and maintenance of too many (sometimes weak) brands. Weaker players who can cut prices will cut. Those who cannot cut prices will either fold, or look to selling overseas. Stronger local players should use this opportunity to consolidate superior positions and pull away from the competition.

CHINA BRANDS PIVOT TO GLOBAL

OVERSEAS MARKETS OFFER HOPE OF BETTER MARGINS, LESS COMPETITION...AND CASHFLOW

18



Totem has reported on this movement in its annual ranking and review of [Chinese Brands Going Global](#). In our 2024, we reviewed 650+ of the leading brands, to produce our ranking of the Top 100 brands. This ranking was lead by Shein, Realme, Huawei, Xiaomi and DJI.

The surge of Chinese brands stepping onto the global stage is a reflection of; (1) global ambitions, (2) government support/urging (as part of its 'dual circulation' policies), and (3) as a result of China's softer, more challenging domestic market. While automakers (BYD, Zeeker) and mobile phone companies (Huawei, Realme, Oppo) are following global ambitions (both corporate and government supported), the vast majority of brands, in other categories are going global to offset domestic sales (and margin) pressures. For Chinese brands facing margin pressures (or debt) at home, sales receipts from global sales (especially those in USD), provide critical support and cashflow. Interestingly, there is a growing contingent of Chinese brands shutting down China operations and re-opening HQs in LA, NYC.

IN CHINA, FOR CHINA

Brands in China face an array of challenges:

Economic: a consumption slowdown

Political: rising tariffs and protectionism

Cultural: growing disconnects between global style/trends with local

...in addition to persistent, hyper competition with peer brands.

In this environment, it has become essential for global brands to be 'in China, for China.'

The challenge in many cases has gone beyond simply creating localized products, ads, or using PRC celebs as ambassadors.

In 2025, being 'for China' may mean restructuring business operations; franchising to local operators, moving to a JV or distributor/licensing model, or fully localizing by separating local operations from HQ.

GAP, made a high profile move to divest its PRC business in 2022 (they sold to ecommerce partner, Baozun). Baozun has reported improvements (in operating margins) with GAP China - on the back of more localized, youthful designs and a more digital focused strategy.



Tim Hortons leans on franchising to; (1) fuel expansion, (2) give more control to local partners (a better offering for nuanced local tastes). Tims opened its 1,000th China store in Q4 2024 - at a time when many brands are slowing.



Many global tech and auto firms (who both produce and sell in China) are shifting to fully localized models in order to hedge against forecast protectionism.

UNICORN CITIES AS BRIGHT SPOTS

LOWER TIER (BLUE COLLAR) AND TECH HUBS (UNICORN) CITIES MAY FAIR (SLIGHTLY) BETTER

19



Unicorn cities where industry and/or key companies are thriving are important considerations in the analysis of where brands should be investing into retail. Some of the important, 'unicorn' cities include; Qingdao, Hefei, Nanjing, Suzhou, Changsha, Zhengzhou, Wuxi, Ningbo, Jinan ...in addition to top tier cities where tech and innovation are already in full swing (Beijing, Shenzhen, Hangzhou, Wuhan).

China's shift to a new, more sombre consumer paradigm is most likely to be defined as a middle class problem, where the white collar class faces pressure to maintain its standing. Mature, white collar cities (Shanghai, Beijing, Guangzhou) may be where this pain is felt first, and most acutely. In this context, lower tier cities (with a blue collar base) may fair better. China's 'unicorn cities,' which are home to important (tech) industries, are also positioned to be less acutely affected (in so far as they are less over-built with retail and are secured by industries which are mission critical). In the near-term, middle class consumers in these ascendent urban hubs should be more insulated from the gyrations of a national economy in flux.

CHINESE LIVE IN AN ECHO CHAMBER

OUTSIDE PERSPECTIVES AND PLURALITY IS SHRINKING IN CHINA

20

While most Chinese consumers are fair minded, negative sentiment can spin out of control in this environment and, so brands need to be more careful, more vigilant, more service focused. To protect against PR death spins, many apps have created panels of 'cyber judges' who review, if a brand chooses to appeal a negative review. This online tribunal could help to moderate against unjust group think.

The period from the beginning of Covid until now - without a return to global travel - has greatly limited the variety of perspectives 'from the outside.' Where in pre-Covid China there was a great interplay of perspectives between China/Global - from trips, tourists, expats and online media - Chinese are now mostly talking to each other, with little outside influence. For global brands, this means that storytelling needs to be almost entirely local and intimately linked with China's cultural trends. In the past, a trip to NYC or Paris provided powerful clues to Chinese shoppers about what to think of a brand. A social post on Instagram provided a certain amount of anchoring. But, Global brands can no longer count on the serendipity of global messaging, media and influencers flowing into China. We see RED (& KOLs) as filling some of this gap.

CHINA STILL A GROWTH MARKET

BRANDS SHOULD TAKE A LONG VIEW FOR THE WORLD'S SECOND LARGEST ECONOMY

21

Even if China ends up following a similar path to Japan (trending sideways for a decade), it will still be an incredibly large, exciting market for the brands that get the formula right. The brands that were well positioned in Japan from decades ago still do an incredible trade there decades later.

There tends to be a bit of an ALL OR NOTHING approach to evaluating China from the outside. China is either seen as the “Big Prize” in global retail or a depressed market on the verge of collapse. A data driven, balanced point of view suggests that China still holds strong potential for growth. However, the brands that pursue that growth must do so with clear, rational plans and projections.

Brands that can take a long view for China will see that (even if it goes deeper into recession), it will still walk out the other side as one of the world's top two economies – and its largest consumer market. Prudence, patience and a view for the long game are essential.

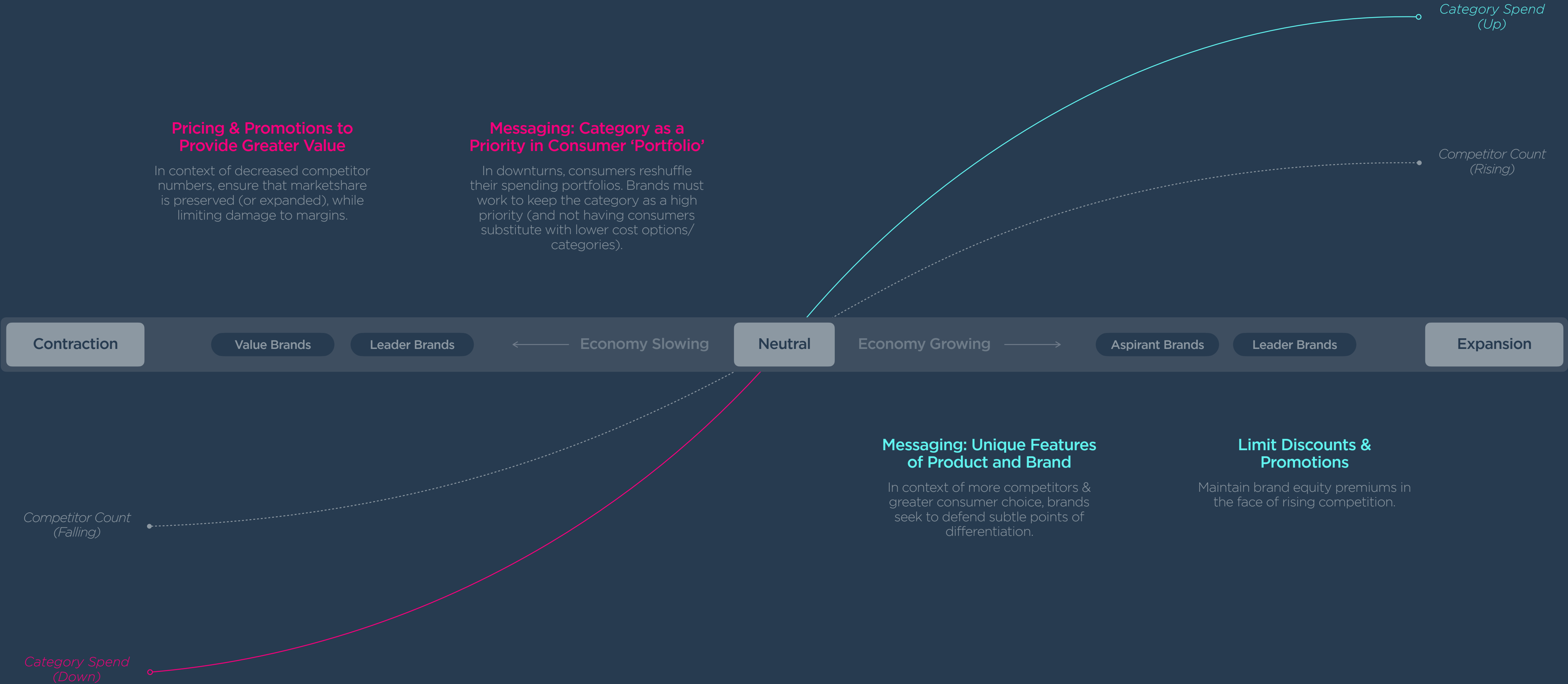
MAINTAINING A KEEN UNDERSTANDING
OF CUSTOMER SENTIMENT IS KEY
KEEPING CUSTOMERS CLOSE, EXTENDING
LTV AND LOYALTY ARE CRITICAL

ADJUSTING MARKETING TO A CHANGING ECONOMY

One of the questions that has come up in discussions about re-adjusting approach during slowdowns has been whether the only move for brands is to cut prices.

Before resorting to discounts, brands need to focus on messaging that re-focuses customer attention on how the product and category should continue to be a priority for consumers. All consumers have a kind of 'portfolio for spending,' where they allocate spending up-and-down, per category, based on whats really important for them. Based on the relative priorities of consumers, some products are viewed as luxuries (and get privileged spend levels), and other product categories are quickly down-graded.

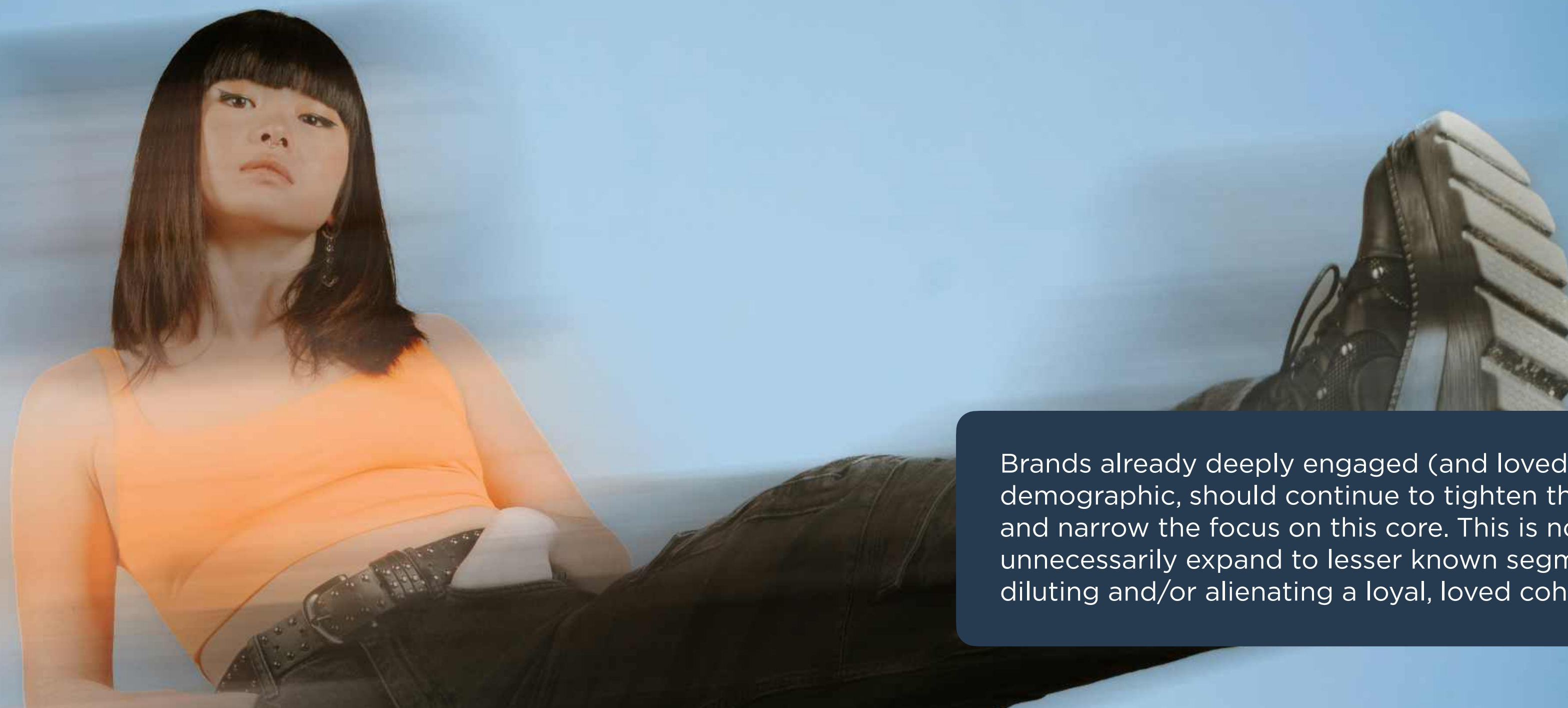
One important goal of marketing during a downturn should be to make sure that your products are worth paying a premium for ...and that the category remains as a luxury in the spend portfolio. **Messaging and positioning should typically precede pricing adjustments.**



GENZ HOLDS THE KEY

FOR BRANDS WHO DON'T YET HAVE AN ANCHOR DEMOGRAPHIC

22



Brands already deeply engaged (and loved by) a core, loyal demographic, should continue to tighten those connections and narrow the focus on this core. This is not the time to unnecessarily expand to lesser known segments - and risk diluting and/or alienating a loyal, loved cohort.

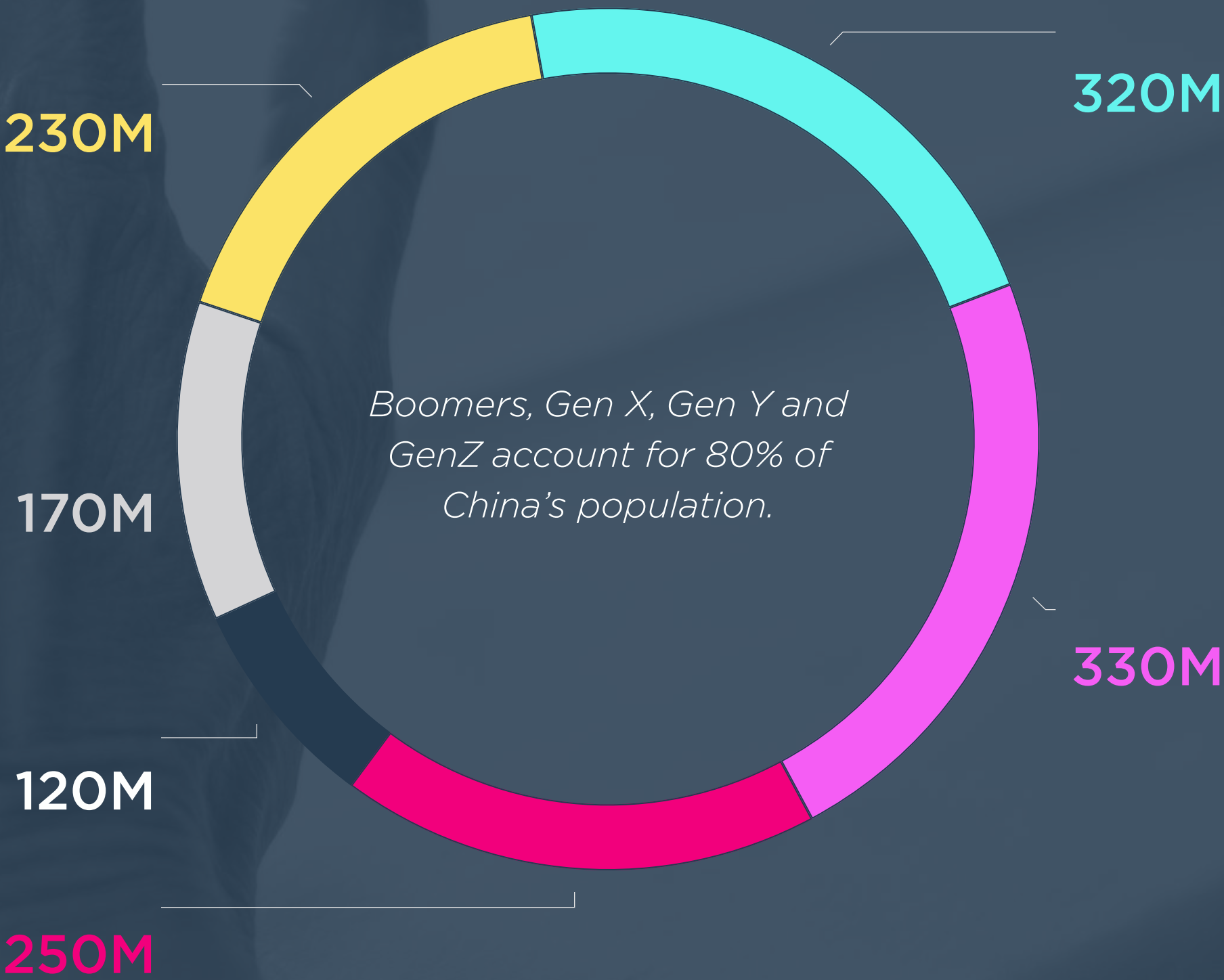
Where the game might have previously been about drilling deep into lower tier cities (and/or a blanket national approach), brands must now recalibrate ambitions to where they can make impact and sustain it. The game is no longer about flexing into customer cohorts. The game is about niching-down and focusing on a core group who love and support your brand, even during uncertain times. For brands not already deeply engaged with a demographic, it may be valuable to cosy-up to China's GenZ. GenZ will be the cultural disruptors and drivers of China in the years ahead, and will be the group where brands can venture real breakthroughs. Where older audiences may become more fixed around a shrinking preference set, GenZ will still be open to explore new brands, and advocate for the next new thing.

AS THE ECONOMY SLOWS, THE NARRATIVE AROUND TARGETING IS LIKELY TO SHIFT AWAY FROM CITY TIERS, MORE TOWARD GENERATIONAL TIERS. WHERE DISCOUNT AND VALUE BRANDS CAN CONTINUE TO PUSH INTO LOWER TIER CITIES, LEADER BRANDS WILL NEED TO FOCUS MORE ON GENERATIONAL TIER POSITIONING AND TARGETING.

WHILE BOOMERS AND GEN-X HAVE ENJOYED DECADES OF GROWTH, GEN-Z ARE STRUGGLING WITH INCALCULABLE YOUTH UNEMPLOYMENT RATES. WHILE BOOMERS ARE SITTING PRETTY, GEN-Z ARE ‘LAYING FLAT.’ THIS PUTS GEN-X AND GEN-Y AS CHINA’S CORE DRIVERS OF CONSUMPTION - AS WELL AS BEING THE MOST LIKELY TO TRADE-UP AND PREMIUMIZE.

The saving grace of younger generations in China is the fact that they often have a basic level of financial support from parents and grandparents. So, while they might not be able to develop inspiring careers of their own, they do have a safety net and, in some cases ‘a free pass’ on having to grind through the career ladder.

POPULATION OF CONSUMER GENERATIONS



BY TARGETING GENERATIONAL TIERS, BRANDS WHO ARE NOT CURRENTLY WELL DIFFERENTIATED CAN BECOME THE GO-TO BRAND FOR A SPECIFIC GROUP.

WHILE IT IS STILL POSSIBLE FOR BRANDS TO LEAD ACROSS ALL GENERATIONAL TIERS, TARGETING BY TIER SIGNALS A MORE MATURE APPROACH TO WINNING IN CHINA, WHERE BEING A LEADER AMONG 330 MILLION GEN-X IS FORMIDABLE.

Sophisticated brand strategies will allow for blending targets across generational tiers, having a core brand identity which works across all tiers, buttressed by an array of more nuanced messages designed for different generational tiers.

The challenge for many brands in this context will be to build a master brand identity while creating specific appeals across generations, tapping into subtle differences in attitudes and interests with messaging. CRM and private traffic capabilities will be critical in supporting these positioning objectives.

GENERATIONAL SEGMENTING, INTERESTS & ATTITUDES

INTERESTS				Preference Level ↑ ↓ Low
Gen Z	Gen Y	Gen X	Babybommer	
ACG dance	Running	Healthy eating	Healthy eating	
Console gaming	RV Trips	Health insurance	Health insurance	
ACG events	Golden oldies	Prudent investment	CPC history	
Niche sports	Casual games	Running	Square dancing	
Shutterbug	Yoga	Country life	Fashion	
Slasher	Home Appliances	Home theatre	Snowbird	
Garage kits	Binge Watching	Venture investment	Military	
Medical aesthetics	Theme parks	Home Appliances	Life hacks	
BELIEFS & ATTITUDES				
- Independent & Confident - Redefine Success - Pursue value of money	- Respect rules - Trust professional brands - Focus on Results & Efficiency	- Value social belonging; follow current events - Seek conventional success - Buy from famous brands for self-gifting	- Conversation; adhere to rules - Stay true to themselves and pursue their own interests - Buy from famous brands for self-gifting	

HEART WINNING OVER HYPE

BREAKTHROUGHS (ESPECIALLY WITH GENZ) TO COME FROM HITTING EMOTIONAL TRIGGERS

23

While pragmatism, prudence and price may be central to consumer consideration into 2025, its not only about getting a job done cheaply. And, for foreign brands who will be hard pressed to win on price/value, connecting to emotional triggers will be more important than ever as ways to build distinctive appeal and emotional loyalty.

Making new breakthroughs will come from tapping into emotional, cultural trends, topics and hot buttons - with better messaging and branding.

There are three avenues which can/should be explored by brands looking to build genuine connections (memories) with customers; (1)humor, fun and irreverence - levity serves as counterbalance to somber, sometimes lonely energy, (2)nostalgia - tapping into happy times, (3)escapism/exoticism - providing a journey and experience that substitutes for travel, nightlife and other expensive activities. GenZ is primed for #1 and #3, while older generations are more likely to respond to #2 and #3.

SWARMING VIBEY PLACES

CUSTOMERS ARE NO LONGER BLANKETING MALLS, THEY'RE SWARMING EVENTS & ACTIVITIES

24

Brandy Melville, Niko And... together with an array of food/snack brands have been notably successful with attracting swarms of excitement. Novel experiential retail, new products for trial, combined with 'charged' social media buzz blitzing, all help keep the crowds showing up. Deals, discounts and giveaways also play an important role.

Customers are no longer everywhere, all the time but are instead choosing to target fun experiences and hotspots, following waves of online excitement and buzz – spurred by RED posts touting what's new and exciting. Hot spots and hot brands are attracting SWARMS of consumers ... especially where activations offer the opportunity for excitement, community, cred, and good deals. Creating hot, social and community activations are seen as antidotes to some of the loneliness that is creeping into certain segments (*eg. GenZ who are trying to fill a real-life, real experience void from years of social media indulgence ...and Covid hangover*). Brands who are successful in attracting these swarms put themselves in a position to minimize burdensome retail constraints that come with expensive malls and/or hefty online platform fees.

BETTER BET ON RED

A NEXUS FOR BUILDING CONSIDERATION, BUZZ AND GROWTH ONLINE & OFFLINE

25

Life is short
Just buy it

小红书
我要的

RED has long been an anomaly on China's social media scene - sidestepping overt commercialization - providing more authentic perspectives to audiences. RED is well regarded for serving up more bottom-up content to audiences looking for more 'truth.' As such, it has historically been the place to discover, rate and review new products.

Moving into China's new consumer paradigm, RED is positioned to thrive. It brings together events, emotional connections and more bottom-up insights/reviews with audiences' growing interest in truth, realism and connection. China's netizens tend to view RED as a place that's about heart more than hype. In addition to being a trusted, more authentic online community, RED has also become a key facilitator of offline events and activities. Post-Covid, RED quickly became the nexus for community events and brand activations, as the place where GenZ (among others) have targeted 'swarm worthy' brand activities. As evidenced by Totem's 2025 brand survey, RED is also the most ROI-positive, efficient channel for brand growth and brand reputation. RED finished 57% higher than Douyin (the closest competitor) in brands' perception of ROI.

TOTEM

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MARKETING INSIGHTS

Totem has a mission to support and provide the insights that C-Level marketers need in planning the growth of their brands, in China, Asia and Globally.

As such, Totem has created a wide set of reports about the key issues being encountered at the leading edges of marketing. The 70+ reports created by Totem have been viewed over a million times by global marketing leaders.

Totem reports cover topics on the frontlines of digital innovation, offering in-depth insight into the future of marketing, including; China and Asia trends, global DTC strategies, new market analyses and AI for brands.

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COMPREHENSIVE PLANNING AND GROWTH FRAMEWORKS FOR BRAND SUCCESS IN CHINA.



DETAILED DATA AND DETAILS ON THE ECOMMERCE AND SOCIAL MEDIA LANDSCAPE ACROSS ASIA. PERSPECTIVES ON REGIONAL GROWTH.



EVALUATING THE RISE OF SOCIAL COMMERCE IN NORTH AMERICA - WITH FOCUS ON GENZ, TIKTOK AND OTHER AGENTS OF CHANGE.



RANKING OF CHINA'S TOP CONSUMER, RETAIL BRANDS GROWING ONTO THE WORLD STAGE. INSIGHTS ON IF/HOW THEY ARE SUCCEEDING.

OUR WORK AT TOTEM

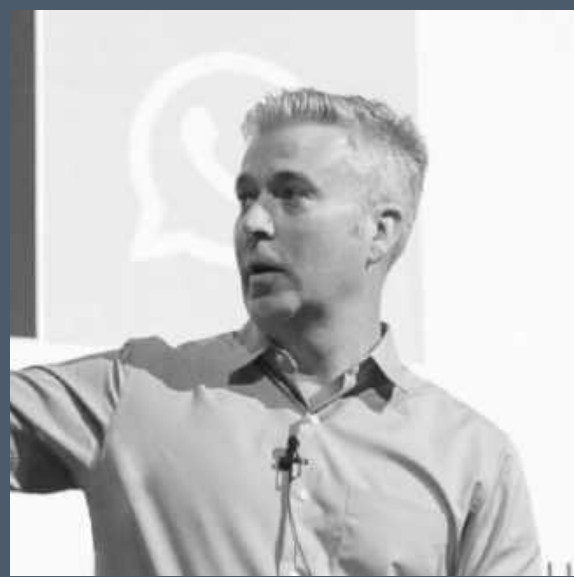
Totem works with a range of brands in Asia, China and Globally.

Projects for our clients address critical marketing and growth issues including;

- Brand strategy, positioning, category design
- Market and competitive intelligence, data insights & analytics
- Audience research, targeting, and growth planning
- Social and digital channel management, content and campaigns
- Influencers and media planning/placements
- Channel strategies, audits, digital capabilities/innovation

Totem's clients range across industries, including; retail, fashion, beauty, travel, entertainment and finance.

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BUSINESS STRATEGY - GLOBAL



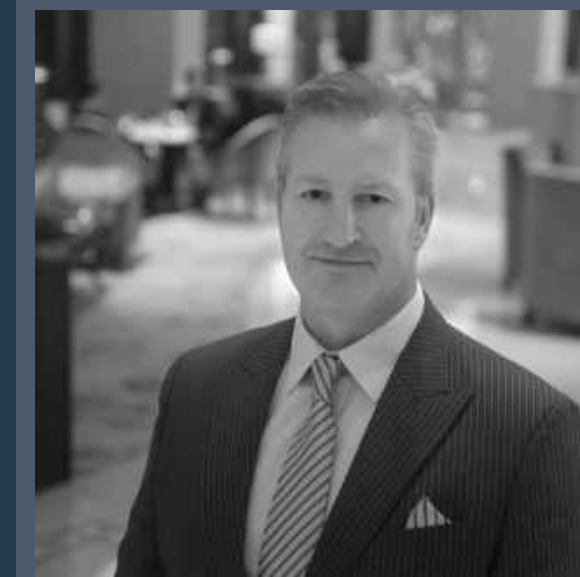
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INSIGHTS & PLANNING - ASIA



LESTER NG
BRAND STRATEGY - ASIA



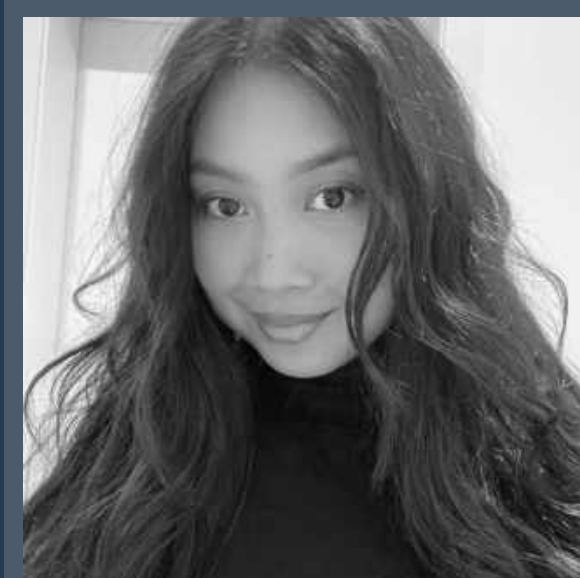
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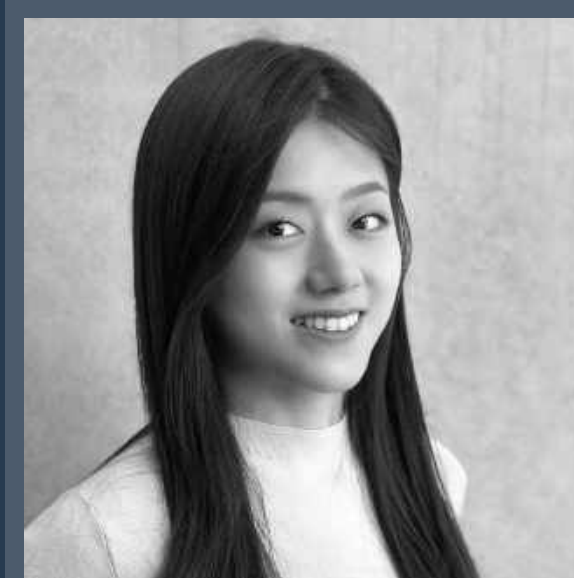
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